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Law-525: Labour Law (Social Security Legislation) – (Paper – III) 3rd Semester

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UNIT – I Labour in the Ancient Society & in the Middle Ages

1. Introduction:

The history of **Labour and Labour Welfare** is closely connected with the **social, economic, and political development** of human civilization.

The position of labour has changed with time — from **slavery and bondage** in ancient societies to **wage employment and industrial work** in the modern era.

In ancient and medieval times, **labour had no legal or social recognition** as a free individual.

There were **no labour laws**, no **social justice**, and no **concept of social security**.

The relationship between master and worker was one of **status and subordination**, not of equality or contract.

2. Labour in Ancient Society

(a) General Features

In ancient times, the economic system was primarily **agricultural**. Labour was treated as a **means of production**, not as a human being with dignity.

The society was **hierarchical** — and manual workers occupied the **lowest social rank**.

Main Features:

1. Labour was **hereditary and caste-based**.
2. Workers had **no freedom to choose or change occupation**.
3. Work was performed under **compulsion**, often **without wages**.
4. **Slavery and forced labour** were widely prevalent.
5. There was **no concept of collective welfare or social security**.

(b) Labour in Ancient India

In ancient India, the structure of labour was governed by the **Varna system** and **Dharmashastra rules**.

According to **Manusmriti**, society was divided into four varnas — *Brahmin*, *Kshatriya*, *Vaishya*, and *Shudra*.

- The **Shudras** formed the main labouring class — they performed manual, agricultural, and domestic work.
- The **employers** belonged mostly to higher varnas and were socially superior.
- The relation between master and servant was determined not by contract, but by **social and religious status**.

Some regulations existed in ancient texts:

- **Kautilya's Arthashastra (4th Century B.C.)** laid down provisions for wages, hours of work, and punishment for ill-treatment of labourers.
 - It stated that workers must be paid their wages regularly and justly.
 - Forced labour (*Vishati*) was condemned as unjust.
- **Manusmriti** prescribed duties of both master and servant, but these were moral or religious in nature — not enforceable laws.

Example:

A worker who left his work without permission could be punished — showing the **complete control of the master** over the labourer.

(c) Labour in Other Ancient Civilizations

Civilization Condition of Labour

Egypt	Labourers were slaves employed in building pyramids; no personal liberty.
Greece	Majority of population were slaves; manual work was despised; no legal protection.
Rome	Slavery was legalized; slaves were property of masters; labour was compulsory.
China	Peasants worked for landlords under feudal conditions; heavily taxed and bound to land.

Conclusion:

In all ancient societies, **labour had no independent status**. The idea that a worker could bargain for wages or demand humane treatment was **unknown**.

3. Labour in the Middle Ages

The **Middle Ages** (5th–15th century A.D.) represent a transition from slavery to **feudalism** in Europe and similar hierarchical systems in Asia.

(a) Feudal System in Europe

- Society was divided into **Lords (landowners)** and **Serfs (workers)**.
- Serfs were not slaves but **were bound to the land**; they could not leave without the lord's permission.
- They had to provide free labour and a portion of their produce to the lord.
- In return, the lord gave them **protection and subsistence land** to cultivate.
- Labour was based on **status, custom, and compulsion**, not on contract or free will.

There were **no fixed working hours, wages, or rest days**, and the concept of **rights of labourers** did not exist.

(b) Labour in Medieval India

During the **Delhi Sultanate** and **Mughal Period**, India's economy was largely **agrarian**.

There was no factory system; production was organized through **guilds** or **state-controlled workshops (Karkhanas)**.

Conditions:

1. Artisans and craftsmen worked in royal karkhanas and were paid small wages.
2. Peasants often worked under **landlords or zamindars** and had to provide **begar** (forced labour) without payment.
3. Occupational mobility was rare — one generally followed the family profession.
4. There was no distinction between **industrial** and **agricultural** labour.
5. The State sometimes regulated wages and working conditions for royal projects, but **there was no labour legislation**.

Example:

During the Mughal period, artisans working in royal karkhanas could not leave service without royal permission — showing absence of freedom of contract.

(c) Transition Period

Towards the end of the Middle Ages, the **growth of trade and handicrafts**, the **decline of feudalism**, and the **rise of towns** began to change labour relations.

Workers began to sell their labour for money, leading to the **wage system**, which later became the foundation of **industrial labour** after the Industrial Revolution.

4. Absence of Legal Protection and Social Security

In both ancient and medieval times:

- There were **no statutory protections** for workers.
- Labour was viewed as a **private or moral matter**, not a legal relationship.
- The concept of **social justice, fair wages, or safe working conditions** was entirely absent.
- The **State** played no role in regulating employment or protecting labourers.

Hence, labourers suffered from **exploitation, insecurity, and poverty**.

5. Impact on Modern Labour Legislation

The **historical exploitation** of workers in ancient and medieval periods laid the foundation for:

1. The **rise of the concept of social justice** in the modern era.
2. The development of **social security laws** to protect workers.
3. The idea that **labour is not a commodity**, but a human being entitled to dignity and welfare.

This change became visible after the **Industrial Revolution** and later influenced modern labour laws like:

- **The Employees' Compensation Act, 1923,**
- **The Factories Act, 1948,** and
- **The Employees' Provident Fund Act, 1952.**

6. Important Judicial Observations (Reflecting Historical Evolution)

Although no ancient cases exist, the **Supreme Court of India** has, in modern times, recognized the historical background of exploitation and the need for social protection:

1. **Bandhua Mukti Morcha v. Union of India (1984 AIR 802)**
 - The Court observed that **bonded and forced labour** are remnants of historical exploitation.
 - It directed the State to take steps for **rehabilitation** and **protection** of such workers.
 - Linked the right to live with **dignity (Article 21)** and **freedom from forced labour (Article 23)**.
2. **People's Union for Democratic Rights v. Union of India (1982 AIR 1473)**
 - Held that even if labourers voluntarily work for less than minimum wages, it is a form of **forced labour**.
 - The Court emphasized the need for **social justice** as part of the constitutional philosophy.
3. **Sanjit Roy v. State of Rajasthan (1983 AIR 328)**
 - The Court held that paying labourers less than minimum wages, even in relief work, is **violation of human dignity**.

These cases represent how **modern Indian labour jurisprudence** arose as a **response to centuries of exploitation**.

7. Summary Table

Period	Nature of Labour	Freedom	Legal Protection	Example
Ancient India	Caste-based, hereditary	None	Religious duties only	Shudras as labourers
Ancient Rome/Greece	Slavery	None	Slave = Property	Roman slaves
Middle Ages (Europe)	Serfdom	Limited	Customary obligations	Serfs under feudal lords
Medieval India	Agricultural & Karkhana labour	Very limited	No statutory law	Begar system
Modern Era	Wage labour	Full (in law)	Protected by Labour Laws	Employees Compensation Act, 1923

8. Conclusion

The **history of labour** is the history of human struggle for **freedom and dignity**.
In ancient and medieval societies, labourers were seen as **subordinates**, not equals.
There was **no social security, no justice, and no legal remedy** for exploitation.

The gradual transformation from **slavery → serfdom → wage labour** led to the realization that workers needed **legal and social protection**.

This realization gave birth to the **concept of Social Justice and Social Security**, which today forms the foundation of **modern Labour Law** in India and across the world.

Conditions of Labour in the Beginning of Industrialization

1. Introduction

The **Industrial Revolution** began in **England around 1760** and gradually spread to **Europe, America, and India**. It marked the shift from **agricultural and handicraft-based** production to **machine-based factory production**.

While this revolution increased industrial output and wealth, it also gave rise to **severe exploitation of labour**. The early factory system was characterized by **inhuman working conditions, long hours, low wages, and absence of legal protection**.

Thus, the **beginning of industrialization** represents the **dark age of labour**, where workers became mere tools of production.

2. Features of Industrial Labour During Early Industrialization

(a) Long Working Hours

- Factory workers, including **women and children**, were forced to work **12 to 16 hours a day**, often without rest.
- There were **no fixed working hours** or weekly holidays.
- Overtime or safety measures were **non-existent**.

(b) Low and Unequal Wages

- Wages were extremely **low and insufficient** for survival.
- Payment was made weekly or monthly, but deductions for lateness or damage were common.
- There was **no concept of minimum wages** or equal pay for equal work.
- Women and children were paid **half or less** than adult males.

(c) Child and Female Labour

- Children as young as **6 or 7 years old** were employed in factories and mines.
- They worked under **hazardous conditions**, leading to injuries and deformities.
- Women worked equally long hours with no maternity or health protection.

This led to a **humanitarian crisis**, forcing governments later to enact **protective laws**.

(d) Unsafe and Unhealthy Working Conditions

- Factories were overcrowded, unventilated, and full of dangerous machines.
- No medical aid, safety devices, or sanitation facilities were available.

- **Accidents and occupational diseases** were frequent, and injured workers were simply dismissed without compensation.

(e) Absence of Job Security

- Employment was entirely **at the will of the employer**.
- There were no written contracts or legal rights.
- Workers could be dismissed at any time, without reason or notice.

(f) No Collective Bargaining or Trade Unions

- In the early stages, workers had **no right to organize**.
- Any attempt to form associations or unions was treated as **criminal conspiracy** (under English Combination Acts, 1799–1800).
- As a result, labourers were **individually weak and powerless**.

3. Causes of Labour Exploitation During Early Industrialization

1. Absence of Legal Regulation:

- There were **no factory laws**, no working-hour limits, and no safety standards.

2. Economic Need of Workers:

- Poverty forced men, women, and children to accept whatever work was offered.

3. Unorganized Labour:

- Workers were uneducated and unorganized, whereas employers were powerful and politically influential.

4. Laissez-faire Policy:

- The government followed a policy of “**non-interference**” in economic affairs.
- Belief that free market would regulate itself led to **unchecked exploitation**.

5. Technological Dependency:

- Workers were easily replaceable due to machines; employers used this to **suppress labour demands**.

4. Early Legislative Responses (in England)

The horrifying labour conditions gradually led to **social awareness and legislative reforms** in England. Some of the earliest laws that form the foundation of **modern labour legislation** were:

Act	Year	Main Provisions
Health and Morals of Apprentices Act	1802	Limited working hours for apprentices; first attempt to regulate factory conditions.
Factory Act	1833	Prohibited child labour below 9 years; restricted working hours for children; introduced factory inspection.
Mines Act	1842	Prohibited employment of women and children under 10 in mines.

Act	Year	Main Provisions
Ten Hours Act	1847	Fixed maximum 10 hours per day for women and young persons.
Employers' Liability Act	1880	Made employers liable for injuries due to negligence.

These Acts marked the **beginning of labour welfare legislation** and the **end of absolute employer domination**.

5. Industrialization and Labour in India

(a) Beginning of Industrialization in India

Industrialization in India began in the **mid-19th century**, mainly under **British colonial rule**, with industries like:

- Textile (Bombay, Ahmedabad),
- Jute (Bengal), and
- Coal mining (Bihar, Bengal).

However, **working conditions were even worse** than those in England due to colonial neglect.

(b) Conditions of Indian Labour

1. **Extremely Long Hours** — 12 to 14 hours a day without weekly rest.
2. **Low Wages** — Barely enough for subsistence; no standard rates.
3. **Use of Women and Child Labour** — Common in factories and mines.
4. **Unhealthy Workplaces** — Poor ventilation, overcrowding, and unsafe machines.
5. **No Compensation for Accidents** — Injured workers were simply replaced.
6. **No Social Security** — No medical, provident fund, or pension benefits.
7. **Absence of Unions** — Workers had no organization or voice.

6. Early Labour Legislation in India (Colonial Period)

Act	Year	Purpose / Significance
Factories Act	1881	First labour law in India; regulated child labour and working hours.
Factories Act (Amended)	1891	Restricted working hours for women and children; introduced safety measures.
Workmen's Compensation Act	1923	Provided compensation for injury or death arising out of employment.
Trade Unions Act	1926	Legalized formation of trade unions.
Payment of Wages Act	1936	Ensured timely and full payment of wages without unauthorized deductions.
Factories Act	1948	Comprehensive law for health, safety, and welfare of workers.

Thus, the poor conditions during early industrialization ultimately led to **State intervention** and **development of labour jurisprudence**.

7. Judicial Reflections on Early Labour Exploitation

Modern Indian courts have repeatedly recognized the **historical background** of labour exploitation and emphasized **social justice** as a guiding principle.

1. **D.T.C. Mazdoor Congress v. Delhi Transport Corporation (1991 AIR 101)**

- The Court stressed that labourers should not be treated as mere cogs in the machine; their right to livelihood and dignity is fundamental.

2. **Bandhua Mukti Morcha v. Union of India (1984 AIR 802)**

- Recognized that the Constitution aims to abolish the exploitation that existed historically, especially during industrialization.

3. **M.C. Mehta v. State of Tamil Nadu (1996 AIR 699)**

- The Court prohibited employment of children in hazardous industries and ordered rehabilitation — a reminder of 19th-century industrial abuses.

8. Conceptual Impact on Modern Labour Law

The sufferings of workers during early industrialization formed the basis for the **philosophy of labour protection**.

From the 19th century onwards, labour law began to shift from:

- **Laissez-faire → State Intervention**
- **Individualism → Social Welfare**
- **Freedom of Contract → Protection of Weak Party**

These principles are now embodied in:

- **Directive Principles of State Policy (Articles 38, 39, 41, 42, 43 of Indian Constitution), and**
- Various **social security legislations** like:
 - Employees' Compensation Act, 1923
 - Factories Act, 1948
 - Employees' Provident Fund Act, 1952
 - Employees' State Insurance Act, 1948

9. Summary Table

Aspect	Early Industrial Era Modern Labour Law	
Working Hours	12–16 hrs/day	8 hrs/day (Factories Act, 1948)
Wages	Arbitrary, very low	Minimum Wages Act, 1948
Safety	None	Compulsory safety & health measures
Job Security	None	Legal protection against dismissal
Women/Child Labour Exploited		Prohibited/Regulated

Aspect	Early Industrial Era Modern Labour Law	
Social Security	Absent	Provident Fund, Insurance, etc.

10. Conclusion

The **beginning of industrialization** exposed the **harsh realities of unregulated capitalism**. Labourers were reduced to mere commodities; **human dignity was sacrificed for profit**.

These miserable conditions triggered social reform movements, trade unions, and ultimately **State intervention** through **labour legislation**.

Thus, the early industrial period, though painful, served as the **foundation of modern social security laws** — converting the **“Law of Master and Servant”** into **“Labour Welfare and Social Justice.”**

Causes for Exploitation of Labour in Early Days

1. Introduction

The **exploitation of labour** is not a new phenomenon — it is deeply rooted in the history of human civilization. From the **ancient caste-based systems** to **feudal bondage** and later the **industrial factory system**, workers have continuously suffered from **economic, social, and legal inequalities**.

During the **early days of industrialization**, the main objective of the capitalist economy was **maximum production and profit**, not the welfare of labour.

Since there were **no labour laws** or **social security systems**, labourers were at the **complete mercy of employers**.

The exploitation took various forms — **long working hours, low wages, unsafe working conditions, use of child and women labour**, and **absence of legal remedies**.

2. Meaning of Labour Exploitation

“Exploitation of labour” means the **unfair and unjust treatment** of workers, especially in terms of wages, working conditions, and freedom.

In economic terms, it refers to the situation where **labour produces more value than what it receives in wages**.

Legally, it means **violation of the worker’s right to just, humane, and safe conditions of work** (now protected under **Articles 21, 23, and 42** of the Indian Constitution).

3. Major Causes of Labour Exploitation in Early Days

Let’s analyze the key causes under economic, social, legal, and administrative heads.

A. Economic Causes

(1) Laissez-faire Policy (Non-Interference by the State)

- During the 18th and early 19th centuries, governments followed the principle of **laissez-faire**, meaning **“let do”** or **“leave alone.”**
- It was believed that the **market would regulate itself** without the need for government control.
- As a result, **factory owners had unlimited power** over workers.
- The State made **no laws** for wages, working hours, or safety — allowing employers to exploit labour freely.

💡 **Result:** Long hours, poor conditions, and no compensation for injuries.

(2) Poverty and Unemployment

- Labourers were **economically dependent** on employers and had **no alternative source of income**.
- Due to widespread poverty and unemployment, workers had to **accept any job**, no matter how unfair or dangerous.
- This **economic compulsion** was the greatest tool of exploitation.

(3) Industrial Revolution and Profit Motive

- With the rise of factories, the main aim of employers became **maximum profit** and **minimum labour cost**.
- Workers were seen as **machines**, not human beings.
- There was **no concept of welfare, rest, or health**.
- The introduction of **machines** made workers easily replaceable — giving employers greater control.

(4) Lack of Organization among Workers

- Labourers were **uneducated, unorganized, and scattered**.
- There were **no trade unions** or collective bargaining rights.
- The English **Combination Acts (1799–1800)** made worker associations illegal, treating them as criminal conspiracies.
- Individual workers were too weak to resist the employer's power.

B. Social Causes

(1) Illiteracy and Ignorance

- Most workers were **illiterate** and unaware of their rights.
- They did not understand wage calculations, safety measures, or contracts.
- Employers took advantage of this ignorance.

(2) Social Hierarchy and Caste System (Especially in India)

- In India, labourers often belonged to **lower castes or poor classes**.
- Society viewed manual labour as **inferior**, which justified their exploitation.
- This deep-rooted **social inequality** prevented labour from demanding justice or equality.

(3) Absence of Social Awareness

- Early society did not recognize **labour welfare** as a moral duty.
- The idea of **social justice** and **human dignity** developed much later through reform movements and constitutional principles.

C. Legal Causes

(1) Absence of Labour Legislation

- Before the 19th century, there were **no laws** to protect workers from exploitation.

- The **master–servant relationship** was governed purely by **contract law**, which always favoured the employer.
- No legal limits on working hours, child labour, or safety.

(2) Employer's Immunity

- Employers were **not legally liable** for accidents or occupational diseases.
- The doctrine of “**assumption of risk**” and “**common employment**” protected employers from paying compensation.
- Even death or injury at the workplace was considered the worker's own risk.

(3) Weak Judicial and Administrative Machinery

- There were **no labour courts**, inspectors, or enforcement mechanisms.
- Complaints by workers were often ignored, and employers had social and political influence

D. Political and Administrative Causes

1. Colonial Exploitation (in India):

- Under British rule, industrial policies were designed to **serve British interests**, not Indian welfare.
- Indian labour was **cheap and unprotected**.
- Factory Acts (1881 and 1891) were passed mainly to **protect British employers** from criticism, not to help Indian workers.

2. Absence of Labour Representation:

- Workers had **no voice in government or lawmaking**.
- Hence, legislation and policy were always biased in favour of employers.

4. Examples of Labour Exploitation in Early Industrial Period

Country Example of Exploitation

England Child labour in textile mills; 14–16-hour shifts; no safety; women and children overworked.

India Jute mills in Bengal and textile mills in Bombay forced women and children into unsafe conditions for meagre wages.

America Early mining industries had accidents and diseases; no compensation laws.

5. Effects of Labour Exploitation

1. **Deterioration of Worker's Health** – due to unhygienic and unsafe working environments.
2. **Child and Women Labour Abuse** – physical deformities and moral degradation.
3. **Social Unrest and Strikes** – exploitation led to the rise of **trade union movements**.
4. **Public Pressure on Governments** – resulting in **early factory and compensation laws**.
5. **Emergence of the Concept of Social Justice** – the recognition that economic liberty without social equality leads to injustice.

6. Judicial Recognition of Exploitation and Social Justice

Modern Indian courts have acknowledged historical exploitation as the reason behind constitutional protection for workers.

1. **Bandhua Mukti Morcha v. Union of India (AIR 1984 SC 802)**

- The Supreme Court held that bonded and forced labour are remnants of **historical and social exploitation**.
- Directed the State to rehabilitate workers and uphold **human dignity under Article 21**.

2. **People's Union for Democratic Rights v. Union of India (1982 AIR 1473)**

- The Court stated that paying wages below the minimum is **forced labour under Article 23**.
- Recognized the duty of the State to eliminate **economic and social exploitation**.

3. **Sanjit Roy v. State of Rajasthan (1983 AIR 328)**

- Held that even during relief work, labourers must be paid minimum wages.
- Social welfare cannot be compromised in the name of development.

4. **D.T.C. Mazdoor Congress v. Delhi Transport Corporation (1991 AIR 101)**

- The Court emphasized that workers are not mechanical instruments but **human beings with dignity and rights**.

7. Constitutional Reflection

The Indian Constitution was deeply influenced by the historical exploitation of labour.

The framers incorporated **social justice and labour welfare** as central themes:

- **Article 21:** Right to live with dignity.
- **Article 23:** Prohibition of forced labour.
- **Article 24:** Prohibition of child labour in factories.
- **Article 39:** Directive Principles on equal pay and protection of health.
- **Article 42:** Just and humane conditions of work and maternity relief.
- **Article 43:** Living wage and decent standard of life.

These provisions represent the **legal answer** to centuries of exploitation.

8. Impact and Outcome

The recognition of exploitation led to:

1. Formation of **Trade Unions**.
2. Enactment of **Factories Acts, Mines Acts, and Workmen's Compensation Act**.
3. Emergence of **Social Security Legislations** — Employees' State Insurance Act (1948), Employees' Provident Fund Act (1952), etc.
4. Shift in philosophy from "**Laissez-faire**" to "**Welfare State**."

9. Summary Table

Cause	Explanation	Result
Laissez-faire policy	No government control on factories	Unchecked exploitation
Poverty & unemployment	Workers forced to accept low wages	Economic dependence
Illiteracy	Workers unaware of rights	No resistance
Caste & social hierarchy	Labour seen as inferior	Acceptance of exploitation
Lack of legislation	No safety or wage laws	Employer's dominance
Lack of unionization	No collective strength	Weak bargaining power

10. Conclusion

The **exploitation of labour in early days** was the product of **economic greed, social inequality, and legal inaction**.

Workers were treated as **instruments of production**, not as human beings.

This long history of injustice led to the **birth of social justice, State intervention, and protective labour laws**. Today's social security legislations — such as the **Employees' Compensation Act (1923)** and the **Employees' Provident Fund Act (1952)** — are direct outcomes of these historical struggles.

Thus, the early exploitation of labour became the **foundation of modern labour jurisprudence** and the **philosophy of welfare state**.

UNIT – II Emergence of the Concept of Social Justice and Social Security

1. Introduction

The development of **Labour Law** and **Social Security Legislation** in India is rooted in the principles of **Social Justice**.

In the early stages of industrialization, labourers were heavily exploited, had no bargaining power, and lived in poverty.

To protect them, the **State gradually shifted from the “Laissez-faire” (non-interference)** approach to the **Welfare State** philosophy — ensuring justice not only in the legal sense but also in the **social and economic sense**.

Thus, the **concepts of Social Justice and Social Security** emerged as **pillars of labour jurisprudence**, aiming to protect workers from the risks of life such as unemployment, sickness, injury, old age, and death.

2. Meaning of Social Justice

There is no single rigid definition, but in general terms:

Social Justice means the fair and humane distribution of wealth, opportunities, and privileges within a society, so that all individuals can live with dignity, equality, and freedom.

In the context of **Labour Law**, **Social Justice** refers to:

The adjustment of relationships between employers and employees to ensure that the weaker section (labour) is protected from exploitation and provided fair conditions of work.

3. Historical Evolution of Social Justice

(a) Ancient and Medieval Periods

- In ancient India, the concept of “**Dharma**” represented a form of **social justice** — it directed rulers to protect the poor, labourers, and artisans.
- However, justice was **class-based** and not equal for all.
- During medieval times (feudalism), labourers remained **serfs and bonded**, with **no freedom or legal protection**.

(b) Industrial Revolution Period

- The 18th and 19th centuries marked the **Industrial Revolution**.
- Exploitation of workers in factories (long hours, low wages, unsafe conditions) led to the rise of **labour movements** demanding humane treatment.
- The idea of “**Social Justice**” emerged as a response to these exploitations.

(c) Post–World War Period

- The world wars exposed the misery of workers and emphasized the need for **human rights and social protection**.
- The **International Labour Organization (ILO)**, established in **1919**, declared that:

“Universal and lasting peace can be established only if it is based upon social justice.”

- India, being a founding member of the ILO, accepted this philosophy and began introducing **social welfare laws**.

4. Meaning and Concept of Social Security

Social Security is a system of protection provided by society (usually through government legislation) to individuals and their families to ensure income security and access to health care, especially in cases of unemployment, sickness, maternity, accident, or old age.

According to ILO (Social Security (Minimum Standards) Convention, 1952):

Social Security means protection which society provides to its members through a series of public measures against the economic and social distress that otherwise would be caused by the stoppage or substantial reduction of earnings resulting from sickness, maternity, employment injury, unemployment, invalidity, old age, or death.

5. Objectives of Social Justice and Social Security

Objective	Explanation
1. Protection of Human Dignity	To ensure workers live a life of dignity and not merely of survival.
2. Prevention of Exploitation	To end the master–servant inequality and protect against unfair treatment.
3. Economic Equality	To reduce the gap between rich and poor by giving fair wages and benefits.
4. Social Welfare	To promote the overall well-being of labour through medical, health, and insurance schemes.
5. Industrial Peace	To create harmony between employer and employee, reducing strikes and lockouts.

Objective	Explanation
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6. Development of Welfare State	To fulfil the constitutional obligation of India as a welfare state (Article 38).
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6. The Role of the State in Ensuring Social Justice

The modern State is not merely a law-making authority but also a **protector of social welfare**.

The Indian Constitution makes it a **fundamental duty of the State** to promote social justice and equality.

Key Steps Taken by the State:

- Enactment of labour and welfare legislations such as:
 - The Employees' Compensation Act, 1923
 - The Employees' State Insurance Act, 1948
 - The Employees' Provident Fund Act, 1952
 - The Minimum Wages Act, 1948
 - The Maternity Benefit Act, 1961
 - The Payment of Gratuity Act, 1972
 - The Payment of Bonus Act, 1965
- Establishment of **Labour Courts, Industrial Tribunals, and Welfare Boards**.
- Implementation of **social insurance and provident fund schemes**.
- Promotion of **tripartite consultation** among government, employers, and workers (through ILO principles).

7. Constitutional Basis of Social Justice and Social Security

The Indian Constitution is the **foundation** for social justice and labour welfare.

(A) Preamble

- Promises **Justice – Social, Economic and Political**.
- Sets the tone for a welfare-oriented approach to labour relations.

(B) Fundamental Rights

Article	Provision	Importance
Art. 14	Equality before law	Protection against discriminatory labour practices.
Art. 19(1)(c)	Freedom to form associations/unions	Basis for trade unions .
Art. 21	Right to life and livelihood	Basis for humane working conditions and social security.
Art. 23	Prohibition of forced labour	Protects labourers from exploitation.
Art. 24	Prohibition of child labour in factories	Ensures child welfare.

(C) Directive Principles of State Policy (DPSPs)

Article	Provision	Relevance
Art. 38	State to promote welfare of the people	Foundation of welfare state.
Art. 39(a)	Right to adequate means of livelihood	Employment guarantee.
Art. 39(d)	Equal pay for equal work	Gender equality in wages.
Art. 41	Right to work, education, and public assistance	Basis for employment and social schemes.
Art. 42	Humane conditions of work and maternity relief	Health and safety for workers.
Art. 43	Living wage and decent standard of life	Economic justice for workers.
Art. 43A	Workers' participation in management	Democratic industrial relations.

These articles form the **constitutional foundation** for all social security laws in India.

8. Judicial Interpretation and Case Laws

The judiciary has played a vital role in developing and enforcing the concept of **social justice** and **social security**.

(1) Randhir Singh v. Union of India (AIR 1982 SC 879)

- The Supreme Court held that “**Equal pay for equal work**” is not merely a directive principle but a **constitutional right** under Article 14 and 16.
- It promoted **economic justice** and equality among workers.

(2) D.S. Nakara v. Union of India (AIR 1983 SC 130)

- Landmark case on **Social Security**.
- The Court held that **pension is not a bounty**, but a **right** of the employee under the concept of social security.
- The judgment extended pension benefits equally to all retired government employees.

(3) Bandhua Mukti Morcha v. Union of India (AIR 1984 SC 802)

- Recognized **bonded labourers** as victims of historical exploitation.
- Directed the government to rehabilitate them and ensure their right to live with dignity under Article 21.

(4) Olga Tellis v. Bombay Municipal Corporation (AIR 1986 SC 180)

- The Court held that the **right to livelihood** is part of the **right to life** under Article 21.
- Without livelihood, the existence of life is meaningless — a core principle of **social justice**.

(5) Sanjit Roy v. State of Rajasthan (1983 AIR 328)

- Held that **payment below minimum wage** violates **Article 23 (prohibition of forced labour)**.
- The State must ensure minimum standards of living even in emergency employment schemes.

(6) Air India Statutory Corporation v. United Labour Union (1997 AIR SC 645)

- The Court interpreted **social justice** as a **dynamic device** to ensure dignity, equality, and economic security for labourers.

9. International Influence: Role of ILO

The **International Labour Organization (ILO)**, established in **1919**, played a crucial role in developing the concept of **social justice and social security** globally.

Key Contributions:

1. Adoption of **Conventions and Recommendations** on minimum standards of labour welfare.
2. Promotion of the concept of **Decent Work and Human Rights at Work**.
3. Emphasis on **Tripartite Consultation** — involving governments, employers, and workers.
4. India, as a member, has adopted many ILO principles in national legislations, such as:
 - Workmen's Compensation Act (1923)
 - Factories Act (1948)
 - Minimum Wages Act (1948)
 - Employees' State Insurance Act (1948)

10. Importance of Social Justice and Social Security in Labour Welfare

Aspect Contribution

Legal Provides a framework for welfare legislations.

Economic Ensures fair distribution of wealth and productivity.

Social Protects dignity and equality of labour.

Industrial Promotes peace and reduces conflict.

Moral Upholds humanity and compassion in industrial relations.

11. Conclusion

The **concept of Social Justice and Social Security** marks a major shift from **economic exploitation** to **human welfare**.

It reflects the idea that **labour is not a commodity but a human being** deserving protection and dignity.

Through the **Constitution, judicial interpretation, and international influence**, India has established a strong framework of labour welfare.

Social Justice has now become the **soul of Labour Law**, and Social Security its **practical expression**.

They ensure that every worker enjoys not only the **right to work**, but also the **right to live with dignity, equality, and safety** — the true goal of a **Welfare State**.

[Role of I.L.O. in Promoting Enactment of Social Security Legislation in India](#)

1. Introduction

The **International Labour Organization (ILO)** is the **first and oldest specialized agency of the United Nations**, founded in **1919** after the **First World War** under the **Treaty of Versailles**.

Its motto is —

“Universal and lasting peace can be established only if it is based upon social justice.”

The ILO’s purpose is to promote **social justice, human and labour rights, and better living and working conditions** for workers globally.

It has been a **major driving force** behind the evolution of **Labour and Social Security Legislations** in India.

2. Historical Background of ILO

- Established in **1919** as part of the **League of Nations**.
- Became a **specialized agency of the United Nations** in **1946**.
- The founding belief: **Peace and progress are possible only when there is social justice**.
- India is a **founding member of the ILO** and has actively participated in its work since 1919.
- The ILO’s influence in India is visible in the **labour reforms, welfare legislations, and social security laws** enacted after independence.

3. Structure of ILO

ILO operates on a **tripartite structure** — a unique feature that includes:

1. **Government representatives**
2. **Employers’ representatives**
3. **Workers’ representatives**

Main Organs:

Organ	Function
(i) International Labour Conference (ILC)	The “Parliament of Labour” — formulates international labour standards in the form of Conventions and Recommendations.
(ii) Governing Body	Executive organ — frames policies and prepares agenda for the ILC.
(iii) International Labour Office (Secretariat)	Administrative and research body; collects data, publishes reports, and assists member nations.
(iv) International Labour Court (advisory)	Examines disputes related to labour standards (not a judicial body in India).

4. Objectives of ILO

1. To improve **working conditions** and **living standards** of labourers.
2. To promote **social justice and human dignity**.
3. To secure **freedom of association and collective bargaining**.
4. To provide **social security** and **protection against sickness, unemployment, and old age**.
5. To eliminate **forced labour and child labour**.
6. To promote **equal opportunities and treatment** for men and women workers.
7. To ensure **fair wages, decent work, and industrial peace**.

5. ILO Conventions and Recommendations

ILO formulates **Conventions (binding treaties)** and **Recommendations (guidelines)**.

When a member country ratifies a Convention, it becomes legally bound to implement it through domestic law.

As of now, **India has ratified 47 Conventions** and several Recommendations, many of which relate directly to **social security and labour welfare**.

6. Important ILO Conventions Influencing Indian Social Security Laws

ILO Convention	Subject Matter	Corresponding Indian Legislation / Effect
Convention No. 1 (1919)	Working Hours (8-hour day, 48-hour week)	Factories Act, 1948, Minimum Wages Act, 1948
Convention No. 19 (1925)	Equality of Treatment (Accident Compensation)	Workmen's Compensation Act, 1923
Convention No. 26 (1928)	Minimum Wage Fixing	Minimum Wages Act, 1948
Convention No. 29 (1930)	Forced Labour	Article 23, Constitution of India and Bonded Labour System (Abolition) Act, 1976
Convention No. 87 (1948)	Freedom of Association	Trade Unions Act, 1926
Convention No. 98 (1949)	Right to Organise and Collective Bargaining	Strengthened Industrial Disputes Act, 1947
Convention No. 102 (1952)	Social Security (Minimum Standards)	Employees' State Insurance Act, 1948 and EPF Act, 1952
Convention No. 103 (1952)	Maternity Protection	Maternity Benefit Act, 1961
Convention No. 131 (1970)	Minimum Wage Fixing	Periodic revisions under Minimum Wages Act
Convention No. 138 (1973)	Minimum Age of Employment	Child Labour (Prohibition and Regulation) Act, 1986
Convention No. 182 (1999)	Elimination of Worst Forms of Child Labour	Strengthened the Child Labour Amendment Act, 2016

7. Role of ILO in Promoting Social Security in India

The ILO has played a **transformative role** in India's development of labour and social security laws through several means:

(A) Guiding Legislation

The ILO's principles and conventions inspired several Indian Acts:

1. **Workmen's Compensation Act, 1923**

- Based on ILO principles of compensation for industrial accidents.

2. **Employees' State Insurance Act, 1948**

- Inspired by ILO Convention No. 102 (Social Security Minimum Standards).
- Provides health, sickness, maternity, and employment injury benefits.

3. **Employees' Provident Fund and Miscellaneous Provisions Act, 1952**

- Reflects ILO's social insurance model to ensure post-retirement security.

4. **Maternity Benefit Act, 1961**

- Influenced by ILO Convention No. 103 (Maternity Protection).

5. **Payment of Gratuity Act, 1972**

- Based on ILO recommendations for post-service benefits.

6. **Unorganised Workers' Social Security Act, 2008**

- Inspired by ILO's campaign to extend social protection to all workers.

(B) Promoting Tripartism in India

- The ILO's **tripartite approach** (Government–Employer–Employee) was adopted in India through institutions like:
 - **Indian Labour Conference (ILC)** (est. 1942)
 - **Standing Labour Committee**
 - **Labour Welfare Boards**

These ensure that **all stakeholders participate** in labour policy-making — ensuring social dialogue and industrial peace.

(C) Providing Technical Assistance and Research

- ILO provides India with **expert advice, training, and research data** on social security, labour standards, and employment.
- It collaborates with Indian ministries and universities to design **welfare programmes and labour statistics**.

(D) Promoting Equality and Elimination of Exploitation

ILO conventions on **forced labour, child labour, and discrimination** directly influenced:

- **Article 23** (Prohibition of forced labour)
- **Article 24** (Prohibition of child labour)
- **Equal Remuneration Act, 1976**

(E) Strengthening the Concept of Decent Work

ILO's global campaign for **"Decent Work for All"** has influenced Indian policy under:

- **National Policy on Skill Development (2009)**
- **Labour Code reforms (2019–2020)**
 - Consolidating laws to ensure fair wages, social security, and safe workplaces.

8. Constitutional Reflection of ILO Ideals

The ideals of the ILO are reflected in the **Preamble and Directive Principles** of the Indian Constitution:

Constitutional Provision	ILO Principle Reflected
Preamble – Social & Economic Justice	ILO's aim of social justice for peace
Article 19(1)(c)	Freedom of association (Trade Unions)
Article 21	Right to live with dignity (Decent Work concept)
Article 23 & 24	Abolition of forced and child labour
Article 38 & 39	Promotion of social, economic justice, equal pay
Article 41–43	Right to work, humane conditions, living wage
Article 43A	Worker's participation in management (ILO's tripartism)

9. Judicial Recognition of ILO Principles in India

Indian courts have often referred to ILO conventions and recommendations to interpret labour laws progressively.

Key Case Laws:

- 1. People's Union for Democratic Rights v. Union of India (1982 AIR 1473)**
 - The Supreme Court relied on **ILO Convention No. 29 (Forced Labour)**.
 - Held that payment below minimum wage amounts to **forced labour**, violating Article 23.
- 2. D.S. Nakara v. Union of India (1983 AIR 130)**
 - Recognized pension as a **social security right**, echoing ILO Convention No. 102.
- 3. Air India Statutory Corporation v. United Labour Union (1997 AIR SC 645)**
 - Court observed that the **ILO's concept of social justice** is part of Indian constitutional philosophy.
- 4. Olga Tellis v. Bombay Municipal Corporation (1986 AIR 180)**
 - Court recognized **right to livelihood** as a fundamental right, influenced by ILO's emphasis on humane work conditions.
- 5. Bandhua Mukti Morcha v. Union of India (1984 AIR 802)**
 - The Court directed the State to eliminate bonded labour in line with ILO's Forced Labour Convention.

10. Assessment of ILO's Impact on India

Aspect	Impact
Legislative	Inspired enactment of key labour welfare and social security laws.
Administrative	Promoted tripartite consultation and industrial harmony.
Judicial	Influenced liberal interpretation of labour rights by courts.

Aspect	Impact
Social	Strengthened the dignity, equality, and welfare of workers.
Global	Helped India align with international labour standards.

11. Challenges in Implementation

1. **Large unorganized sector** remains outside formal social security.
2. **Delayed ratification** of certain ILO conventions due to administrative constraints.
3. **Weak enforcement** of labour laws in rural and informal industries.
4. **Need for modernization** of labour inspection and reporting systems.

However, through the **Code on Social Security, 2020**, India has taken a major step to fulfill ILO objectives by **unifying and extending coverage to all workers**.

12. Conclusion

The **International Labour Organization** has been a **global architect of labour welfare and social security**. Its conventions, recommendations, and tripartite philosophy deeply influenced **India's constitutional, legislative, and judicial approach** towards labour welfare.

ILO's role has ensured that India's labour policy is not merely about productivity but about **justice, dignity, and human welfare**.

Thus, the ILO has been the **moral and legislative guide** for India in realizing the ideals of the **Preamble – "Justice: Social, Economic, and Political"** — making it a cornerstone in the evolution of **Social Security Legislation** in India.

UNIT – III

Employees' Compensation Act, 1923

Introduction

The Employees' Compensation Act, 1923 is one of the earliest pieces of labour welfare legislation in India. It was enacted to provide **monetary compensation** to workers (or their dependents) who suffer injury or death by **accidents arising out of and in the course of employment**.

The Act is based on the **principle of social justice** — that a worker, who contributes to the employer's business and suffers during employment, must be compensated, regardless of fault.

Objective:

To provide financial protection to employees or their dependents in case of:

1. Death or injury caused by accident during employment.
2. Occupational diseases arising out of employment.

Important Definitions (Section 2)

- **Workman / Employee [Section 2(1)(n)]**

"Workman" means any person who is:

- Employed in any capacity in railways, factories, mines, construction, or any other scheduled employment,
- Doing manual, technical, clerical, or supervisory work,

- For hire or reward, whether the terms are expressed or implied.

Exclusions:

- A member of the Armed Forces.
- Persons whose employment is of a casual nature and not for the employer's trade or business.

Example:

A carpenter employed in a factory is a workman.

But a tailor temporarily hired to stitch uniforms for a day is not a workman.

Case Law:

→ *Mackinnon Mackenzie & Co. Pvt. Ltd. v. Ibrahim Mahmmud Issak* (1969 AIR 1906)

Held: A seaman employed on a ship who died due to an accident on duty was held to be a workman under the Act.

- **Dependent [Section 2(1)(d)]**

"Dependent" means the following relatives of a deceased employee:

(i) Wholly Dependent:

- Widow or widower
- Minor legitimate or adopted son
- Unmarried legitimate or adopted daughter
- Widowed mother

(ii) Partly Dependent (if wholly dependent relatives are not available):

- Widowed daughter-in-law
- Minor illegitimate son or unmarried illegitimate daughter
- A minor brother or unmarried sister
- A widowed sister if no parent alive
- A widowed daughter
- A parent other than widowed mother
- A paternal grandparent if no parent alive

Case Law:

→ *Kesoram Cotton Mills Ltd. v. Mrs. R. N. Bhattacharjee* (1958 AIR 1342)

Held: Dependents must prove that they were financially dependent on the deceased at the time of death to claim compensation.

- **Total Disablement [Section 2(1)(l)]**

Means **such disablement that incapacitates a workman for all work** he was capable of performing at the time of the accident.

Examples:

- Loss of both hands or both legs.
- Complete loss of eyesight.

- Paralysis causing inability to work.

Types:

- **Permanent Total Disablement:** Injury which permanently incapacitates a worker for all work.
- **Temporary Total Disablement:** Injury that temporarily prevents him from doing any work but recovery is possible.

Case Law:

→ *Pratap Narain Singh Deo v. Srinivas Sabata* (1976 AIR 222)

Held: A carpenter who lost his left arm was totally disabled for his profession, hence entitled to compensation for permanent total disablement.

- **Partial Disablement [Section 2(1)(g)]**

Means **such disablement that reduces the earning capacity** of a workman in any employment he was capable of undertaking at the time of accident.

Types:

- **Permanent Partial Disablement:** Injury reduces earning capacity permanently (e.g., loss of one eye, one finger).
- **Temporary Partial Disablement:** Injury reduces earning capacity for a limited period (e.g., fracture, minor burn).

Example:

Loss of one thumb reduces earning capacity but does not prevent all work.

Case Law:

→ *North-East Karnataka Road Transport Corporation v. Sujatha* (2019 SCC OnLine SC 969)

Held: Even if a worker can perform some duties, if his earning capacity is reduced, it amounts to partial disablement and compensation must be paid.

Purpose of Definitions

These definitions help determine:

- **Eligibility for compensation**
- **Amount payable** (depends on type of disablement)
- **Persons entitled to receive compensation** (dependents in case of death)

Key Principle

The Act is a **welfare legislation**, and hence should be **liberally interpreted** in favor of employees.

Judicial View:

In *Regional Director, ESIC v. Francis De Costa* (1996 AIR 432), the Supreme Court emphasized that such laws must be interpreted to achieve social justice and not defeated by technicalities.

Summary Table

Term	Meaning	Example	Case Law
Workman	Person employed in specified work for wages	Factory worker	<i>Ibrahim Mahmmud Issak Case (1969)</i>

Term	Meaning	Example	Case Law
Dependent	Relative financially dependent on deceased	Widow, minor children	<i>Kesoram Cotton Mills Case (1958)</i>
Total Disablement	Complete incapacity for all work	Loss of both hands	<i>Pratap Narain Singh Deo Case (1976)</i>
Partial Disablement	Reduced earning capacity	Loss of one finger	<i>NEKRTC v. Sujatha (2019)</i>

➤ Employer's Liability for Compensation

Introduction

Under the **Employees' Compensation Act, 1923**, an **employer is liable to pay compensation** if an employee suffers **personal injury by an accident arising out of and in the course of employment** (Section 3).

The main condition for employer's liability is the **nexus between the accident and the employment** — that is, the accident must both **arise out of** and **occur in the course of employment**.

Section 3(1) – Employer's Liability

"If personal injury is caused to an employee by accident arising out of and in the course of his employment, his employer shall be liable to pay compensation in accordance with the provisions of this Act."

Thus, two essential conditions must coexist:

1. **The injury must arise out of employment**, and
2. **The injury must occur in the course of employment.**

(i) Accident Arising Out of and in the Course of Employment

Let's break this into two parts 🙋

A. "In the Course of Employment"

This phrase means **during the period of employment, at a place where the employee is expected to be, and while he is fulfilling his employment duties or engaged in something incidental to it.**

✅ **Key Points:**

- The accident must occur **while the employee is on duty or doing something connected to his job.**
- Time, place, and circumstances are crucial to determine whether it occurred "in the course of employment."

Example:

A driver injured while driving his employer's truck on duty is considered to be injured **in the course of employment**.

Case Law 1:

➡ *Saurashtra Salt Manufacturing Co. v. Bai Valu Raja* (AIR 1958 SC 881)

Facts: A workman was going from the factory to his place of residence provided by the employer and died due to drowning while crossing a creek.

Held: The Supreme Court held that the accident occurred *in the course of employment* because the employee was using a customary route between his workplace and residence.

Case Law 2:

→ *Regional Director, ESI Corporation v. Francis De Costa* (1996 AIR 432)

Held: The phrase “in the course of employment” extends to all activities reasonably incidental to the employment duties, even if not strictly within working hours.

B. “Arising Out of Employment”

This means that **the injury must be caused due to a risk which is incidental to the employment** — that is, there must be a **causal connection** between the work and the accident.

It must be shown that:

- The accident was due to a risk directly connected with employment, and
- The employment exposed the worker to that particular risk.

Example:

If a factory worker is injured due to a machine explosion during work, the accident *arises out of employment*.

Case Law 3:

→ *Mackinnon Mackenzie & Co. Pvt. Ltd. v. Ibrahim Mahmmod Issak* (1969 AIR 1906)

Facts: A seaman died while on duty at sea.

Held: The Court held that the accident arose *out of and in the course of employment* as the nature of employment exposed the worker to the perils of sea travel.

Case Law 4:

→ *Laxmibai Atma Ram v. Bombay Port Trust* (1954 I LLJ 614 Bom)

Held: The expression “arising out of employment” means that the injury must have been caused because of a risk incidental to the employment and not due to personal reasons of the employee.

C. Combined Meaning

An accident is said to “**arise out of and in the course of employment**” when:

1. It occurs **during the period of employment**, and
2. It is **caused by a risk incidental to employment**.

👉 Both conditions must be satisfied simultaneously for compensation to be payable.

D. Presumption under Section 3(2)

If an employee is found dead on the employer’s premises, it may be **presumed** that the accident arose out of and in the course of employment **unless the employer proves otherwise**.

E. Illustrations

Situation	Liability of Employer	Reason
Worker injured by machine during duty hours	✓ Yes	Accident arose out of and in course of employment
Worker injured while going to canteen provided by employer	✓ Yes	Incident connected with employment

Situation	Liability of Employer	Reason
Worker injured while returning home after duty hours	✗ No (unless covered by notional extension)	Not during employment time
Worker injured due to personal fight with another employee	✗ No	Not connected with employment

F. Key Case Laws Summary

Case Name	Citation	Principle Laid Down
<i>Mackinnon Mackenzie & Co. v. Ibrahim Mahmmud Issak</i>	AIR 1969 SC 1906	Accident during voyage arose out of employment
<i>Saurashtra Salt Mfg. Co. v. Bai Valu Raja</i>	AIR 1958 SC 881	Accident while going from work to residence arose in course of employment
<i>Laxmibai v. Bombay Port Trust</i>	1954 I LLJ 614	Injury must be due to risk incidental to employment
<i>Francis De Costa Case</i>	AIR 1996 SC 432	Liberal interpretation for social justice

G. Legal Principle

The doctrine of “**Causal Connection**” is applied —

There must be a reasonable connection between the accident and the employment duties.

The Act being a **social welfare legislation**, the courts adopt a **liberal interpretation** in favor of the worker.

H. Important Judicial Observation

In *Mackinnon Mackenzie Case (1969)*, the Supreme Court stated:

“If the employment is a contributory cause or has accelerated the injury, the accident can be said to arise out of employment.”

Conclusion

The employer is liable for compensation **only when** the accident:

1. Occurs **in the course of employment**, and
2. **Arises out of** the employment.

If either of these conditions is missing, the employer is **not liable** under Section 3.

This provision ensures **protection to employees** while maintaining a fair balance with employers’ liability.

(II) Notional Extension of Employer’s Premises

1. Introduction

The “**Doctrine of Notional Extension**” is a **judicial innovation** developed to extend the meaning of the phrase “**in the course of employment**” under Section 3 of the Employees’ Compensation Act, 1923.

This doctrine means that an employee’s employment is not confined only to the **exact workplace or working hours** — it can **extend** beyond the strict limits of the employer’s premises **in certain circumstances**.

2. Meaning

Under this doctrine, the **employment of a worker** is considered to **continue for a reasonable time and space before and after the actual working hours** and may **extend to the areas and paths connected with employment** — such as:

- The way between the **factory gate and the actual place of work**, or
- The **road or transport provided by the employer**, or
- **Residence provided by the employer** within the campus.

Thus, if an accident happens during such extended period or place, it is deemed to have occurred **“in the course of employment.”**

3. Legal Basis

Although the Act itself does not mention “notional extension,” the principle has been **judicially recognized** and accepted by Indian courts to achieve **social justice** under labour welfare law.

The doctrine helps to determine **whether the accident has a sufficient connection with employment**, even if it did not occur exactly on the employer’s physical premises.

4. Essentials of Notional Extension

To claim benefit under this doctrine, the following conditions must be fulfilled:

Essential	Explanation
(i) There must be a connection between accident and employment	The accident must occur in an area or situation connected to employment duties.
(ii) The accident must occur at a time reasonably connected with employment	For example, while entering or leaving the workplace, or using employer-provided transport.
(iii) The employee should not have deviated from the normal route or purpose	If he went for personal work, it breaks the link with employment.

5. Judicial Development (Important Case Laws)

(a) Saurashtra Salt Manufacturing Co. v. Bai Valu Raja, (AIR 1958 SC 881)

Facts:

Workers of a salt manufacturing company lived in huts provided by the employer. To reach the workplace, they had to cross a creek using boats. One day, a workman drowned while crossing the creek on his way to work.

Issue:

Was the accident “in the course of employment”?

Held:

 **Yes.** The Supreme Court held that although the accident occurred outside the factory gate, it was during the time and route which the worker necessarily had to take as part of his employment.

Hence, the **doctrine of notional extension** applied — the employment extended from the factory gate to the employee’s residence by the only available route.

Principle Laid Down:

Employment is not confined to the actual premises but includes **“notional extension”** covering the normal route of access to and from the place of work.

(b) General Manager, B.E.S.T. Undertaking v. Mrs. Agnes, (AIR 1964 SC 193)

Facts:

A bus driver employed by B.E.S.T. was injured while traveling to his place of duty in a bus operated by the same undertaking.

Held:

✅ The Supreme Court applied the **notional extension** principle and held that the injury occurred in the course of employment since he was using employer-provided transport as part of his duty.

Principle:

When the employer provides the means of transport, the journey to or from work is part of employment.

(c) S. S. Manufacturing Co. v. Bai Valu Raja (Precursor case to Saurashtra Salt)

Reaffirmed that the area and time connected with entry or exit from the workplace form part of the notional extension of employment.

(d) Regional Director, ESI Corporation v. Francis De Costa, (1996, 6 SCC 1)

Held: The Court emphasized that employment may extend beyond the actual hours if the workman is engaged in an activity **incidental or connected** to his employment.

6. Illustrations

Situation	Whether Covered	Reason
Worker injured while entering factory gate before starting duty	✅ Yes	Within notional extension of premises
Worker injured while going home through normal route after work	✅ Yes	Within notional extension of employment
Worker injured while taking a personal detour for shopping	❌ No	Personal deviation – not connected with employment
Worker injured while traveling in employer-provided transport	✅ Yes	Employer's responsibility continues during such travel
Worker injured at home before leaving for duty	❌ No	Not yet within the notional extension of employment

7. Importance of Doctrine

- Protects workers who face risks just before or after working hours.
- Ensures **fair compensation** for accidents connected with employment.
- Promotes **social justice**, aligning with the **object of welfare legislation**.

8. Limitation

However, the doctrine does **not apply** if:

- The employee was engaged in **personal or unauthorized activity**.
- The accident occurred at a time or place **not reasonably connected** to employment.
- The **causal connection** between employment and accident is **too remote**.

9. Key Principles Summarized

Principle	Meaning
Time Extension	Employment continues for reasonable time before and after working hours.
Space Extension	Employment extends to area reasonably connected to work premises.
Causal Connection	Accident must have direct or reasonable connection with employment duties.
No Personal Deviation	Personal errands or deviations break the link.

10. Conclusion

The **Doctrine of Notional Extension** ensures that employees are not deprived of compensation **merely because** the accident occurred a few yards outside the workplace or just before/after duty hours.

It is an essential part of **employer's liability** under Section 3 of the Employees' Compensation Act, 1923 — reflecting the **spirit of social justice** and **liberal interpretation** adopted by Indian courts.

(III) Liability of Employer for Occupational Diseases

1. Introduction

Certain employments expose workers to **particular risks or harmful substances** that may cause **diseases peculiar to that occupation**.

Such diseases are known as **"Occupational Diseases."**

Example:

- A worker in a lead factory developing lead poisoning.
- A miner suffering from silicosis due to inhalation of dust.

To protect such workers, the Employees' Compensation Act, 1923 provides **special provisions** holding employers liable even though there is **no direct accident**, but **disease contracted due to employment**.

2. Legal Provision: Section 3(2)

Section 3(2) of the Act states that **if an employee contracts an occupational disease** peculiar to his employment, such disease shall be **deemed to be an injury by accident** arising out of and in the course of employment.

Thus, the employer is liable to pay compensation as if the disease were an **accidental injury**.

3. Classification of Employment (Schedule III)

The **Third Schedule** of the Act divides employments into **three parts**:

Part	Type of Employment	Nature of Liability
Part A	Employments with permanent and continuous exposure to disease risk	If disease is contracted, employer is automatically liable , provided employee worked in that employment.
Part B	Employments with intermittent exposure	Employer liable only if employee worked for a continuous period of 6 months immediately preceding disablement.

Part	Type of Employment	Nature of Liability
Part C	Employments specified by Central Government notification	Liability arises if employee worked for the period specified in notification .

4. Examples of Occupational Diseases

Occupation	Disease
Working in lead factory	Lead poisoning
Working in cotton or textile mill	Byssinosis (lung disease)
Mining work	Silicosis or pneumoconiosis
Exposure to asbestos	Asbestosis
Chemical factory work	Skin diseases, dermatitis
Working in compressed air	Caisson disease (air pressure illness)

5. Essentials for Employer's Liability

To claim compensation for occupational disease, the following must be proved:

1. The employee **was employed** in a specified occupation mentioned in Schedule III.
2. The disease is **peculiar to that employment** and directly caused by its nature.
3. The employee **worked for the prescribed period** in that employment.
4. The disease **resulted in disablement or death**.

Once these conditions are fulfilled, the disease is **deemed to be an injury by accident**, and the employer becomes liable for compensation.

6. Burden of Proof

- Generally, the **employee (or his dependents)** must prove that the disease was contracted due to employment.
- However, where the disease and employment are both listed in Schedule III, there is a **presumption in favor of the employee** — that the disease arose out of and in the course of employment.

The **employer can rebut** this presumption by proving that the disease was **not due to employment**, but due to some other cause (e.g., personal habits, unrelated illness).

7. Important Case Laws

(a) Bhagubai v. Central Railway, (AIR 1955 Bom 105)

Facts:

A railway employee contracted disease due to continuous exposure to dust and unsanitary conditions at work and died.

Held:

The court held that the disease was directly connected to the nature of employment. It amounted to an **injury by accident** under Section 3(2), making the employer liable.

Principle:

If the nature of employment exposes the worker to a particular disease, it is deemed an employment injury.

(b) Mackinnon Mackenzie & Co. Pvt. Ltd. v. Ibrahim Mahmmod Issak, (AIR 1969 SC 1906)

Held: The Supreme Court observed that even if there is no single identifiable accident, an **occupational disease** contracted due to **continuous exposure** to employment risks is treated as an **“injury by accident.”**

(c) S. S. Co. Ltd. v. Bai Valu Raja (1958 AIR 881)

Held: If the disease is directly attributable to employment conditions, it is compensable under Section 3(2).

(d) Bombay High Court in *D. P. Chamle v. M/s. Digvijay Cement Co. Ltd.* (1996 I LLJ 123)

Held: Silicosis caused to a cement worker due to exposure to dust is an **occupational disease**, and the employer was held liable under the Act.

8. Occupational Disease as “Deemed Accident”

The law treats occupational disease as a **deemed accident** to overcome the difficulty of proving a specific date or incident — because such diseases develop **gradually over time**.

Hence, once proved, compensation is calculated in the same way as for **accidental injury** or **death** under Section 4.

9. Defense Available to Employer

An employer can avoid liability only if he proves:

1. The disease **was not due to employment**, or
2. The employee **did not work for the required period** in that employment, or
3. The employee **willfully disobeyed safety instructions** or **acted negligently** (Section 3(1)(b)).

10. Key Principles Summarized

Point	Description
Basis of liability	Contracting of disease due to nature of employment
Legal fiction	Occupational disease = injury by accident
Burden of proof	On workman; but presumption if in Schedule III
Defense	No causal connection, short employment, negligence
Object	Social security to employees exposed to health risks

11. Judicial Approach

Courts have consistently held that **beneficial interpretation** must be given to this provision to ensure that **workers suffering from employment-related diseases** get rightful compensation.

In *Mackinnon Mackenzie Case (1969)*, the Supreme Court emphasized that the Act is a **piece of social welfare legislation** and should be **construed liberally** to benefit the employee.

12. Conclusion

The **liability of employer for occupational diseases** under Section 3(2) reflects the **social justice spirit** of labour law.

It ensures that workers who contract diseases due to their employment environment are **financially protected**, even when no sudden accident occurs.

By treating occupational disease as a **deemed accident**, the law extends the scope of compensation and reinforces the **humanitarian objective** of the Employees' Compensation Act, 1923.

(IV) Defenses Available to Employer Against the Claims of Compensation

1. Introduction

While the Employees' Compensation Act, 1923 is a **beneficial and welfare legislation**, it also recognizes certain **exceptions** where the **employer is not liable** to pay compensation.

These exceptions or defenses ensure that **liability is not absolute** — the employee must show that injury or death occurred **due to employment** and **without personal fault or misconduct**.

Thus, the employer can **avoid or reduce liability** under specified conditions mentioned in the **provisos to Section 3(1)**.

2. Statutory Basis: Section 3(1) (Provisos)

According to **Section 3(1)** of the Employees' Compensation Act:

"The employer shall be liable to pay compensation if personal injury is caused to an employee by accident arising out of and in the course of his employment, **unless** the injury does not result in total or partial disablement for a period exceeding three days, or is directly attributable to certain excepted causes."

These **exceptions** form the **legal defenses** available to the employer.

3. Main Defenses Available to the Employer

(i) Injury Not Arising Out of and in the Course of Employment

Explanation:

The employer is liable only for accidents that occur **out of and in the course of** employment.

If the accident occurred while the employee was **doing something unrelated to his job**, or **beyond his authorized duties**, the employer can deny liability.

Example:

If a worker leaves the workplace during lunch break and meets with an accident on a personal errand — not connected to employment — the employer is **not liable**.

Case Law:

- **Regional Director v. Francis De Costa (1993)** – Supreme Court held that the accident must have a **causal connection** with employment.
- If employment is not the cause or a contributory factor, no compensation can be claimed.

(ii) Injury Not Resulting in Disablement Exceeding Three Days

As per **Section 3(1) (a)**,

If the injury **does not result in total or partial disablement for more than three days**, the employer is **not liable** to pay compensation.

Purpose:

To exclude **trivial or minor injuries** that do not cause real loss of earning capacity.

(iii) Injury Caused Due to Employee's Intoxication

As per **Section 3(1)(b)(i)**,

If the injury is **caused due to the employee being under the influence of drink or drugs**, the employer is **not liable**.

Example:

A machine operator working under the influence of alcohol and meeting with an accident cannot claim compensation, as the injury is due to **personal fault**.

Case Law:

- *Bai Shakri v. New Manek Chowk Mills Co. Ltd.* (AIR 1959 Bom 219):
Held that when accident is caused due to intoxication, it breaks the nexus between employment and injury.

(iv) Willful Disobedience of Safety Orders or Rules

Under **Section 3(1)(b)(ii)**,

If an employee **willfully disobeys** an order expressly given, or a rule made for **securing safety of employees**, and is injured as a result, the employer is **not liable**.

Example:

If an employee ignores safety gear instructions (like not wearing a helmet or gloves) and suffers injury, compensation may be denied.

Case Law:

- *Gouri Bai v. Coal India Ltd.* (1991 I LLJ 103):
The court held that if safety instructions are willfully disobeyed, employer is not liable.

(v) Willful Removal or Disregard of Safety Guard or Device

Under **Section 3(1)(b)(iii)**,

If the injury results from the employee **willfully removing or disregarding safety guards or protective devices**, the employer is **not liable**.

Purpose:

To prevent negligent or reckless acts of workers that directly cause their injury.

Example:

If a worker removes a machine cover to speed up work and gets injured, compensation can be denied.

Case Law:

- *Bhagwati Devi v. I.T.I. Ltd.* (1999 II LLJ 330):
Court denied compensation since the employee removed machine safety guard voluntarily.

(vi) Injury Not Due to an “Accident”

If the injury or disease is **not accidental** but arises from **natural causes** (like heart attack, stroke, or pre-existing illness) **unrelated to work**, the employer is not liable.

However, if employment **aggravates or accelerates** a disease, it will be deemed an accident.

Case Law:

- *Mackinnon Mackenzie & Co. v. Ibrahim Mahmmod Issak* (1969 AIR SC 1906):
Held that even a heart attack caused due to work stress can be considered an accident “arising out of employment”.

(vii) Injury During Personal Acts Not Connected to Employment

If the employee suffers injury while performing **acts purely for personal benefit** (not incidental to employment), the employer is not liable.

Example:

An employee injured while playing cards or resting after duty hours inside factory premises cannot claim compensation.

(viii) Fraud or Misrepresentation by Employee

If it is proved that the employee **obtained employment by fraud**, or **suppressed a pre-existing illness**, which caused or aggravated the injury, the employer can claim defense against compensation.

4. Additional Judicially Recognized Defenses

Courts have allowed certain additional defenses on equitable grounds:

Defense	Case Example	Principle
Injury due to act of God or natural calamity	—	Not attributable to employer.
Injury during commuting outside employment zone	<i>Francis De Costa Case (1993)</i>	No liability unless notional extension applies.
Injury during strike, lockout, or personal fight	<i>T.N.C. Workers Union v. M.S.E.B. (1998)</i>	Not connected with employment.

5. Employer's Duty of Care and Burden of Proof

- The **burden of proof** for these defenses lies on the **employer**.
- The employer must **prove clearly** that the injury was due to one of the excepted causes.
- Courts interpret these exceptions **narrowly** because the Act is **beneficial legislation** for workers.

6. Judicial Approach

Indian courts have consistently held that:

“When two interpretations are possible, the one which favors the employee should be preferred.”

Case:

- *Mackinnon Mackenzie & Co. v. Ibrahim Mahmmod Issak* – The Supreme Court emphasized liberal interpretation to achieve the purpose of social welfare.

7. Summary Table: Defenses Available to Employer

Sr. No.	Defense	Section/Case Law	Remarks
1	Accident not arising out of/in course of employment	Sec. 3(1)	Must prove no causal connection
2	Injury < 3 days disablement	Sec. 3(1)(a)	No liability for trivial injuries
3	Intoxication	Sec. 3(1)(b)(i)	Complete defense

Sr. No.	Defense	Section/Case Law	Remarks
4	Willful disobedience of safety order	Sec. 3(1)(b)(ii)	Defense applies if deliberate
5	Removal/disregard of safety guard	Sec. 3(1)(b)(iii)	Employer not liable
6	Natural causes unrelated to work	Judicial	No “accident”
7	Personal act unrelated to duty	Judicial	Not employment-related
8	Fraud/misrepresentation	Judicial	Valid defense if proved

8. Conclusion

The **Employees’ Compensation Act, 1923** balances the **rights of employees** with **reasonable protection for employers**.

The defenses under Section 3(1) ensure that compensation is paid only when injury or death truly arises **out of and in the course of employment**, and not due to the employee’s **own fault or misconduct**.

However, courts apply these defenses **strictly and narrowly**, keeping in mind the **social welfare objective** of the Act — that genuine victims must not be deprived of their rightful compensation.

(V) Contracting (Liability in Case of Contractors and Subcontractors) (Section 12)

1. Introduction

In modern industries, employers often **hire contractors or sub-contractors** to carry out specific parts of their work.

However, such arrangements often make it **difficult for workers to claim compensation** when an accident occurs — because they may not be directly employed by the main employer (principal).

To **protect such workers**, **Section 12** of the **Employees’ Compensation Act, 1923** creates **special provisions** to ensure that **the principal employer remains liable**, even if the worker was employed through a contractor.

2. Object and Purpose

The object of **Section 12** is to:

- **Prevent evasion of liability** by employers through the device of sub-contracting.
- **Ensure social justice** by giving employees the right to claim compensation from the person who ultimately benefits from their labour (the principal employer).
- Maintain the **beneficial nature** of the Act — compensation should reach the injured worker quickly and effectively.

3. Statutory Provision – Section 12

Section 12(1): Liability of Principal Employer

If the principal employer:

- **Contracts** with any contractor to execute any work,
- And that work is **ordinarily part of the trade or business** of the principal employer,
- Then, the principal employer shall be **liable to pay compensation** to any employee injured **while working for the contractor** in connection with that work.

Section 12(2): Indemnity Right of Principal Employer

After paying compensation, the **principal employer has the right to recover the amount** from:

- The contractor, or
- Any person from whom the contractor would have been entitled to indemnity.

Section 12(3): Direct Claim Against Principal Employer

The employee (or his dependents) can **claim compensation directly** from:

- The principal employer, or
- The contractor.

👉 But **not both at the same time** (no double recovery).

Section 12(4): Notice of Accident

The employee or dependents must **give notice of accident** to the **contractor or the principal employer**, so that liability can be properly determined.

4. Essentials of Section 12

To make the **principal employer liable**, the following conditions must be satisfied:

Essentials	Explanation
(1) There must be a principal employer	The person who gets the work executed through a contractor.
(2) There must be a contractor	A person engaged by the principal to execute work.
(3) The work must be ordinarily part of the trade or business of the principal employer	For example, if a factory owner hires a contractor to repair machines or construct a shed.
(4) Injury must arise out of and in the course of employment	The employee must be engaged in work related to the contract.
(5) Employee must be under the contractor's employment	But working for the benefit of the principal employer's trade or business.

5. Meaning of "Ordinarily Part of Trade or Business"

This phrase is **crucial** in deciding whether the principal employer is liable.

It means the work must be **an essential or integral part** of the principal employer's business — not something incidental or unrelated.

Example:

- If a sugar factory hires a contractor to repair its machinery → ✓ part of business → principal employer liable.
- If it hires a contractor to build staff quarters → ✗ not part of regular trade → principal employer not liable.

6. Important Case Laws

(a) Mackinnon Mackenzie & Co. v. Ibrahim Mahmmod Issak, (1969 AIR SC 1906)

Principle: The Act must be interpreted liberally to ensure social welfare. Even contractors' workers are covered when work is done for the principal employer's business.

(b) Basti Sugar Mills Co. Ltd. v. Ram Ujagar, (AIR 1957 SC 1157)

Facts: A sugar mill engaged a contractor for cleaning boilers. A worker was injured during this work.

Held: The Supreme Court held that the **cleaning of boilers was part of the trade/business** of the mill. Hence, the **principal employer was liable** to pay compensation under Section 12.

(c) Dewan Chand v. Municipal Corporation of Delhi, (AIR 1971 SC 815)

Facts: MCD employed a contractor for removal of rubbish. A labourer of the contractor was killed in an accident.

Held: The work of rubbish removal was part of MCD's business. Hence, MCD, as the **principal employer**, was liable under Section 12.

(d) Payyannur Education Society v. Narayanan, (1995 II LLJ 1032)

Held: The principal employer remains liable even if the contractor failed to insure his workers. The aim is **protection of labour**, not the employer's convenience.

(e) Executive Engineer, P.W.D. v. Maniben Valji, (1978 Lab IC 1629)

Held: The Public Works Department (PWD) was held liable as the **principal employer** when a worker employed by a road contractor died during work.

7. Rights and Liabilities Summary

Party	Rights	Liabilities
Principal Employer	- Right to recover compensation from contractor after paying.	- Liable to pay compensation to injured worker.
Contractor	- May be indemnified by sub-contractor.	- Primarily responsible to principal employer.
Employee	- Right to claim compensation directly from principal employer.	- Must give notice of accident.

8. Example Situations

Scenario	Liability	Reason
Factory owner hires contractor to repair boiler and worker injured	✅ Principal employer liable	Work part of business
Factory hires contractor to paint office of Managing Director	❌ Not liable	Not part of trade
Municipal corporation hires garbage contractor and worker dies	✅ Liable	Cleaning is part of civic business
Construction company hires sub-contractor and worker injured	✅ Principal liable	Construction part of main business

9. Legal Effect of Section 12

- The **liability of the principal employer is vicarious** — it arises because the work benefits him.

- It ensures that the worker is **not left remediless** even if the contractor is insolvent or absconds.
- After paying, the principal employer can **recover the amount** from the contractor.
- Courts always interpret Section 12 **liberally in favour of employees**.

10. Distinction between “Principal Employer” and “Contractor”

Principal Employer	Contractor
Engages contractor to execute work.	Executes work on behalf of principal.
Responsible for ensuring compensation payment. Direct employer of the worker.	
Has right of indemnity after payment.	Has primary responsibility towards his employees.

11. Important Judicial Observations

“The protection afforded by Section 12 is an extension of the principle of social welfare — the employee should not be deprived of compensation merely because the employer chose to carry out work through a contractor.” — *Basti Sugar Mills Case (AIR 1957 SC 1157)*

12. Summary Chart

Aspect	Explanation
Governing Section	Section 12
Purpose	Prevent evasion of liability through contracting
Who is liable?	Principal employer
Right of recovery	From contractor (Sec. 12(2))
Employee’s option	Can claim from principal employer or contractor
Work condition	Must be ordinarily part of trade/business
Case Law	<i>Basti Sugar Mills Co. v. Ram Ujagar (1957)</i> , <i>Dewan Chand v. MCD (1971)</i>

13. Conclusion

The concept of “**Contracting**” under **Section 12** of the Employees’ Compensation Act ensures that workers are not deprived of compensation merely because they are **employed through contractors**.

It reflects the **social justice philosophy** of labour law — that the **real employer (beneficiary of labour)** should bear responsibility for the risks arising from employment, with a right to recover the amount from the contractor later.

➤ [Amount of Compensation](#)

1. Introduction

The **Employees’ Compensation Act, 1923** (earlier called the Workmen’s Compensation Act) ensures **monetary relief** to workers or their dependents in case of:

- **Death,**
- **Permanent total disablement,**

- **Permanent partial disablement**, or
- **Temporary disablement** due to an accident arising out of and in the course of employment.

The **amount of compensation** is governed by **Section 4** of the Act and depends on:

- The **nature of injury**,
- The **monthly wages** of the employee, and
- The **relevant factor** given in **Schedule IV** of the Act (based on the employee's age).

2. Statutory Provision: Section 4

Section 4 lays down how compensation is calculated in different cases.

3. Compensation in Case of Death (Section 4(1)(a))

If death results from the injury, the employer shall pay the greater of the following:

(i) An amount equal to **50% of the monthly wages × Relevant Factor** (from Schedule IV)

OR

(ii) A **minimum of ₹1,20,000** (whichever is higher).

Illustration:

A workman aged **30 years** earning **₹8,000 per month** dies in an accident.

From Schedule IV, the **relevant factor** for age 30 = **207.98**

So,

Compensation = 50% of 8,000 × 207.98

= 4,000 × 207.98

= **₹8,31,920**

As ₹8,31,920 > ₹1,20,000,

 **Employer has to pay ₹8,31,920.**

4. Compensation in Case of Permanent Total Disablement (Section 4(1)(b))

If total disablement results from injury, compensation = higher of:

(i) 60% of the monthly wages × Relevant Factor

OR

(ii) Minimum ₹1,40,000

Illustration:

A worker aged 40 years earning ₹9,000/month suffers permanent total disablement.

Relevant factor for 40 years = **184.17**

Compensation = 60% of 9,000 × 184.17

= 5,400 × 184.17

= **₹9,94,518**

Hence, compensation payable = **₹9,94,518** (since it's higher than ₹1,40,000).

5. Compensation in Case of Permanent Partial Disablement (Section 4(1)(c))

If injury **reduces earning capacity permanently but partially**, the compensation is proportionate.

(a) If injury specified in Schedule I, Part II:

Then, compensation = same percentage of what would be payable for total disablement.

Example:

- Loss of one eye = 40% disablement.
- If total disablement compensation = ₹10,00,000
→ Then, partial = 40% of ₹10,00,000 = **₹4,00,000**

(b) If injury not specified in Schedule I:

Commissioner determines the **percentage of loss of earning capacity** based on medical evidence.

6. Compensation in Case of Temporary Disablement (Section 4(2))

If disablement is **temporary (total or partial)**:

The worker is entitled to **half-monthly payments** equal to **25% of monthly wages**, payable on the **16th day** after the disablement begins, and thereafter every **half month** during disablement or up to **5 years**, whichever is shorter.

Illustration:

Monthly wage = ₹12,000

Temporary disablement for 6 months

Half-monthly compensation = 25% of ₹12,000 = ₹3,000

Total 12 payments (2 per month for 6 months)

= ₹3,000 × 12 = **₹36,000**

7. When Compensation Becomes Due (Section 4A)

Section 4A(1):

Compensation becomes **due immediately** on the occurrence of injury or death.

Section 4A(2):

If the employer does not pay compensation **within one month**, the Commissioner can order the employer to pay:

- **Interest @ 12% per annum**, and
- **Penalty up to 50%** of the total compensation (if delay is unjustified).

Case Law:

- **Pratap Narain Singh Deo v. Srinivas Sabata** (1976 AIR SC 222):
The Supreme Court held that **liability to pay compensation arises immediately** on the occurrence of the accident resulting in injury, **not after adjudication**.

8. Relevant Factor (Schedule IV)

The “Relevant Factor” depends on the **age of the workman** at the time of the accident.

It represents the **number of years of earning capacity** remaining.

9. Meaning of Key Terms

Term	Meaning
Monthly wages	Average monthly earnings before accident (Sec. 5)

Term	Meaning
Disablement	Loss of earning capacity — can be total or partial
Commissioner for Employees' Compensation	Authority empowered to decide disputes and assess compensation
Relevant Factor	Multiplier based on age (from Schedule IV)

10. Case Laws on Amount of Compensation

(i) Pratap Narain Singh Deo v. Srinivas Sabata (AIR 1976 SC 222)

Facts: A carpenter lost one arm while working.

Held: Loss of one arm = permanent total disablement for a carpenter → full compensation payable immediately.

(ii) K.S.R.T.C. v. Mahadevaiah (2003 II LLJ 433)

Held: “Monthly wages” include regular allowances forming part of wage structure.

(iii) Kerala State Electricity Board v. Valsala K. (1999 SC)

Held: The relevant factor is to be taken as per the **date of accident**, not the date of adjudication.

(iv) National Insurance Co. v. Mubasir Ahmed (2007 2 SCC 349)

Held: When there's delay in payment, **interest and penalty** under Section 4A are mandatory.

11. Example Calculation (Full-Length)

A worker aged **35 years** earning **₹10,000 per month** dies in an accident.

Relevant Factor (age 35) = 197.06

Compensation = 50% of 10,000 × 197.06 = 5,000 × 197.06 = **₹9,85,300**

Hence, **compensation payable** = **₹9,85,300**

If the employer delays payment for 6 months:

- Interest @12% = ₹59,118
 - Penalty (say 30%) = ₹2,95,590
- ➔ **Total = ₹9,85,300 + ₹59,118 + ₹2,95,590 = ₹13,39,998**

12. Distribution of Compensation (Section 8)

- In case of **death**, compensation is paid to **dependents** through the **Commissioner** only (not directly by employer).
- The Commissioner distributes the amount **after verifying** the claims.
- If dependents are **minors**, their share is deposited in a **bank/post office** until they attain majority.

13. Important Principles Summarized

Nature of Injury	Compensation Payable
Death	50% of monthly wages × relevant factor (min ₹1,20,000)
Permanent Total Disablement	60% of monthly wages × relevant factor (min ₹1,40,000)

Nature of Injury

Compensation Payable

Permanent Partial Disablement Proportionate to loss of earning capacity

Temporary Disablement Half-monthly @ 25% of monthly wages up to 5 years

Delay in payment Interest @12% + Penalty up to 50%

14. Legal and Social Importance

- Provides **financial protection** to workers and families.
- Encourages **employers to ensure safety** at workplace.
- Promotes the **principle of social justice** under labour welfare law.

15. Conclusion

The **Amount of Compensation** under the Employees' Compensation Act, 1923, is scientifically determined using **wages, age, and degree of disablement** to ensure fairness.

The Act emphasizes **quick and adequate relief** to injured workers or dependents and holds the employer **strictly liable**, reinforcing the **social security objective** of labour legislation in India.

➤ Distribution of Compensation (Section 8)

1. Introduction

The **Employees' Compensation Act, 1923** ensures that compensation awarded for death or injury of a workman is **properly received by the rightful beneficiaries** — mainly the **dependents** of the deceased worker.

To prevent **misuse or exploitation**, the Act provides that **compensation must be deposited with the Commissioner**, not directly handed over by the employer.

This process is governed by **Section 8**.

2. Statutory Provision – Section 8

Section 8 lays down the **procedure for distribution of compensation** in cases of:

- **Death** of an employee, and
- **Serious injury** (if required by the Commissioner).

3. Step-by-Step Process

(1) Deposit of Compensation by Employer

- When **death** occurs, the **employer must deposit** the amount of compensation **with the Commissioner for Employees' Compensation**, not directly with the dependents.
- The employer must also **submit a statement** showing how the amount was calculated.

Purpose: To ensure that dependents are not cheated or underpaid.

(2) Notice by Commissioner (Section 8(2))

- After receiving the deposit, the **Commissioner issues notice** to all **dependents of the deceased** and **employer**.
- He calls upon them to appear and **prove their dependency**.

- If there are multiple dependents, each one's entitlement is determined individually.

(3) Determination of Dependents

- The **Commissioner decides who are dependents** under Section 2(1)(d) of the Act.
- Examples of dependents:
 - Widow or widower
 - Minor legitimate or adopted children
 - Parents wholly or partially dependent
 - Widowed mother, unmarried daughter, etc.

(4) Distribution of Compensation (Section 8(4))

- After inquiry, the Commissioner **distributes the compensation** among the dependents **in proportions he thinks just and reasonable**.

Example:

If a deceased worker leaves behind a widow and two minor children, Commissioner may divide ₹10,00,000 as follows:

- Widow – ₹5,00,000
- Each child – ₹2,50,000

(5) Deposit for Minors or Incapable Dependents

- If any dependent is a **minor or incapable**, the Commissioner does **not pay directly**.
- The amount is **deposited in a bank or post office** and **paid periodically** or **after attaining majority**.
- This ensures protection against misuse.

(6) Direct Payment to Workman (in Non-Death Cases)

- In cases **other than death**, the **Commissioner may allow direct payment** to the injured workman if satisfied that he can safely handle it.
- Example: For partial disablement or temporary disablement.

(7) Approval for Agreements (Section 8(5))

- If the employer and workman **reach an agreement** on the amount of compensation, the **Commissioner must approve it**.
- Without approval, such payment is **not valid** and the employer may be liable again.

4. Objective Behind Section 8

Purpose	Explanation
Protection	To safeguard dependents (especially minors/widows) from exploitation or coercion.
Fairness	Ensures equitable distribution among dependents based on need and dependency.
Transparency	Commissioner supervises all transactions to avoid fraud.
Welfare Orientation	Reflects social justice principle under labour laws.

5. Role of Commissioner

The **Commissioner for Employees' Compensation** is a **quasi-judicial authority** with powers to:

- Determine dependency.
- Decide amount and apportionment of compensation.
- Supervise deposit and withdrawal of money.
- Conduct inquiries and issue orders.
- Ensure compliance with the Act.

He functions like a civil court while deciding disputes under the Act.

6. Case Laws

(i) North East Karnataka Road Transport Corp. v. Sujatha (2008 AIR SC 1120)

Facts: Employer paid compensation directly to the widow without depositing before the Commissioner.

Held:

Payment **must be deposited with the Commissioner**; direct payment to dependent **is not valid**.

Employer remains **liable** until proper deposit is made.

(ii) Padma Sundara Rao v. State of T.N. (2002 SC)

Held: The **Commissioner must apportion** compensation among dependents **fairly**, keeping in mind the degree of dependency.

(iii) New India Assurance Co. Ltd. v. Vimal Devi (2010 SC)

Held: The **Commissioner** has the **exclusive jurisdiction** to decide who are dependents and how the compensation will be distributed.

7. Key Points to Remember for Exams

Point	Provision
Employer must deposit compensation in case of death	Section 8(1)
Commissioner issues notice to dependents	Section 8(2)
Commissioner decides who are dependents	Section 8(3)
Commissioner distributes amount fairly	Section 8(4)
Commissioner can approve agreements	Section 8(5)
Direct payment allowed only in non-death cases	Section 8(7)

8. Example (Full-Length)

A worker dies in a factory accident. Employer calculates compensation as ₹8,00,000 and pays it directly to the widow.

Later, the deceased's parents file a claim saying they were dependents too.

Legal position:

- Direct payment by employer is **invalid** under Section 8(1).

- Employer must deposit ₹8,00,000 with the **Commissioner**.
- Commissioner will decide:
 - Widow – 60%
 - Parents – 40% (20% each)
- The employer will be **discharged** from liability only after proper deposit and distribution.

9. Summary Table

Stage	Action	Authority
1. Accident results in death	Employer calculates compensation	Employer
2. Deposit	Amount deposited with Commissioner	Employer
3. Notice	Dependents and employer called	Commissioner
4. Inquiry	Dependency and shares determined	Commissioner
5. Distribution	Fair and just apportionment	Commissioner
6. For minors	Deposited in bank or post office	Commissioner supervision

10. Importance in Labour Welfare

- Prevents **undue influence** or **misuse** of compensation money.
- Reflects **state's duty to protect weaker sections** (Art. 41 & 43 of Directive Principles).
- Ensures **social justice** and **economic security** for dependents of deceased workers.

11. Conclusion

The **Distribution of Compensation (Section 8)** is a vital safeguard to ensure that the **benefits of compensation truly reach those entitled to it**.

It emphasizes **supervision by the Commissioner**, **protection of dependents**, and **transparency in process** — embodying the **welfare spirit** of the Employees' Compensation Act, 1923.

UNIT – IV The Employees' Provident Funds and Miscellaneous Provisions Act, 1952

1) Object and Application of the Act

1. Introduction

The **Employees' Provident Funds and Miscellaneous Provisions Act, 1952** (EPF Act) is one of the **most important social security legislations** enacted in India.

It provides for the **financial security of employees after retirement** or in case of **disablement, death, or unemployment**.

The Act aims to ensure that employees **save a part of their wages regularly**, which is later returned to them with **interest and employer's contribution**.

2. Object and Purpose of the Act

The **main objective** of the EPF Act, 1952 is to **promote social security and economic stability** among industrial workers.

Objectives in Detail:

1. To provide retirement benefits:

- The Act ensures that employees have a **financial cushion after retirement** through accumulated provident fund contributions.

2. To ensure compulsory savings:

- It enforces **mandatory savings** from both employer and employee contributions.

3. To protect workers against future uncertainties:

- Provides financial help in case of **retirement, disability, death, or long illness**.

4. To promote social justice:

- Reflects the **Directive Principles of State Policy (Articles 38, 39, 41 & 43)** — securing the right to work, education, and public assistance.

5. To ensure economic independence of employees:

- Encourages workers to rely on their own savings rather than depending on charity or government assistance after retirement.

Preamble of the Act

“An Act to provide for the institution of provident funds, pension fund and deposit-linked insurance fund for employees in factories and other establishments.”

Thus, the focus is **social welfare** through **compulsory contribution and management of funds**.

3. Important Social Security Schemes under the Act

The Act provides for **three main schemes**, which are notified by the Central Government:

Scheme Name	Year	Purpose
1. Employees' Provident Fund Scheme (EPF)	1952	To provide a lump-sum benefit at retirement.
2. Employees' Pension Scheme (EPS)	1995	Provides pension to employees after retirement or to family after death.
3. Employees' Deposit Linked Insurance Scheme (EDLI)	1976	Provides life insurance cover to employees.

All these schemes are managed by the **Employees' Provident Fund Organisation (EPFO)**.

4. Application of the Act

(A) Section 1(3) — Applicability

The Act applies to:

1. **Every factory** engaged in any industry specified in **Schedule I**, and
2. **Any other establishment** employing **20 or more persons**.

✓ The **Central Government** has the power to extend the Act to other establishments by notification in the Official Gazette.

(B) Voluntary Application (Section 1(4))

- Even an establishment **with less than 20 employees** can **opt voluntarily** for the Act's application.
- Both **employer and majority of employees** must agree.
- Once applied, the establishment remains **permanently covered**, even if the number of employees later falls below 20.

(C) Coverage of Employees

The Act applies to:

- All **employees (including contract and part-time workers)** receiving **basic wages**, dearness allowance, and retaining allowance.
- It excludes **apprentices** under the Apprentices Act or those employed for training.

(D) Geographical Application

The Act extends to **the whole of India** (including Jammu & Kashmir since 2019).

(E) Establishments Covered

Examples of establishments covered under the Act:

- Factories (textile, cement, engineering, chemicals, etc.)
- Shops and commercial establishments employing 20+ people
- Educational institutions
- Hospitals and medical establishments
- Construction companies
- IT and service-based companies

5. Non-Applicability (Exemptions)

The Act does **not apply** to:

1. **Establishments registered under Co-operative Societies Act** with fewer than **50 employees** and **working without power**.
2. **Employees** who enjoy benefits **not less favorable** than the Act's provisions.
3. **Government establishments** where similar or better pension/provident fund benefits exist.
4. **New establishments** may be **temporarily exempted** by the government under Section 16.

6. Important Provisions Ensuring Application

Section	Provision	Explanation
Section 1(3)	Applicability	Applies to factories and establishments with 20+ employees.
Section 1(4)	Voluntary application	Employer + majority employees' consent.
Section 16	Exemptions	Temporary or permanent exemption if equal or better benefits provided.
Section 17	Power to exempt	Appropriate Government may exempt an establishment.
Schedule I	Industries covered	Lists industries like textile, engineering, iron, steel, etc.

7. Administration of the Act

The Act is administered by the **Employees' Provident Fund Organisation (EPFO)** under the control of the **Central Board of Trustees** (Section 5A).

Composition of Board of Trustees:

- Representatives of **Government (Central and State)**
- Representatives of **Employers and Employees**
- **Chairman and Vice-Chairman** appointed by the Central Government

This Board manages all three schemes (EPF, EPS, EDLI).

8. Case Laws

(1) Regional Provident Fund Commissioner v. Shibu Metal Works, (1965) AIR SC 1076

Held:

The Act is a **beneficial social welfare legislation**. It should be **liberally interpreted** to achieve its objectives of protecting employees' post-employment security.

(2) Daily Partap v. Regional Provident Fund Commissioner, (1998) 8 SCC 90

Held:

Even **newspaper establishments** fall under the EPF Act.

The Court emphasized that the Act applies to **any establishment** employing 20 or more persons, regardless of profit motive.

(3) P.M. Patel & Sons v. Union of India, (1987) 1 SCC 394

Held:

Home-based workers who contribute to the employer's business are also "employees" under the Act. The law protects all classes of workers, not only those inside the factory.

(4) The Daily Thanti v. Regional PF Commissioner, (1998) 8 SCC 90

Held:

The Act is a piece of **social legislation**, and **its benefits cannot be denied** on technical grounds.

9. Key Points to Remember (for Exam)

Topic	Key Points
Object	Social security through compulsory savings
Applicability	Establishments with 20+ employees
Voluntary coverage	Employer + majority employee consent
Geographical extent	Whole of India
Exemptions	Co-operatives, better benefit schemes, government establishments
Schemes under the Act	EPF (1952), EPS (1995), EDLI (1976)
Administering authority	EPFO under Central Board of Trustees

10. Conclusion

The **Employees' Provident Funds and Miscellaneous Provisions Act, 1952** is a landmark in India's social security system.

It ensures that workers are **financially independent and protected** after retirement, disability, or death.

By enforcing **joint contributions from both employer and employee**, the Act realizes the **constitutional vision of social justice** and **economic security** for labourers.

2) Definitions: Basic Wages, Factory, Employer, Employee:

1. Introduction

To understand the application and implementation of the EPF Act, 1952, it is necessary to understand the **key definitions** provided under **Section 2** of the Act.

These terms determine **who is covered**, **who contributes**, and **how the Act applies**.

The following definitions are **frequently asked in LLB exams**, so they must be written precisely with legal references and case illustrations.

2. Definition of "Basic Wages" — [Section 2(b)]

"Basic wages" means all emoluments which are earned by an employee while on duty or on leave in accordance with the terms of the contract of employment and which are paid or payable in cash to him.

However, it **does not include**:

1. The cash value of any food concession;
2. Any dearness allowance, house-rent allowance, overtime allowance, bonus, commission or any other similar allowance;
3. Any presents made by the employer.

Explanation:

- "Basic Wages" include the **fixed amount of salary** which an employee receives as per the terms of employment, excluding allowances and incentives.
- This definition is important for calculating the **employer's and employee's contributions** to the Provident Fund.

Key Points:

Included	Excluded
Basic Pay	Dearness Allowance
Retaining Allowance (if any)	HRA
Cash value of food concession	Overtime, Bonus, Commission

Case Law:

Bridge & Roof Co. (India) Ltd. v. Union of India (AIR 1963 SC 1474)

Held:

"Basic wages" include all amounts **earned by the employee** in accordance with his employment terms, but **not allowances** like bonus or overtime.

The Court clarified that **only regular, universally paid components** are included.

Manipal Academy of Higher Education v. PF Commissioner (2008) 5 SCC 428

Held:

Components that are **paid to all employees uniformly** are part of basic wages.
But if a payment is **variable or performance-based**, it is not part of basic wages.

Surya Roshni Ltd. v. Employees Provident Fund (2019) 4 SCC 322**Held:**

Allowances which are **universally, necessarily, and ordinarily paid** to all employees (like travel allowance, canteen allowance) are part of **basic wages**.
Thus, contribution must be made on them.

Practical Example:

If an employee earns:

- Basic Pay = ₹10,000
- DA = ₹2,000
- HRA = ₹1,000
- Bonus = ₹500

Then **Basic Wages = ₹10,000** (for calculating PF contribution).

3. Definition of “Factory” — [Section 2(g)]

“Factory” means any premises, including its precincts, wherein **twenty or more persons** are employed and a **manufacturing process** is being carried on **with the aid of power**, or is **ordinarily so carried on**, but does not include a mine subject to the Mines Act or a railway running shed.

Explanation:

- The definition is similar to that under the **Factories Act, 1948**, but used here to identify **industrial establishments** covered under the EPF Act.
- Even if the factory is temporarily closed, if the manufacturing process continues occasionally or seasonally, it **still comes under the Act**.

Case Law:**Shree Changdeo Sugar Mills v. Union of India (2001) 1 SCC 519****Held:**

A sugar mill employing more than 20 workers and engaged in manufacturing process with power is a **factory** under the EPF Act.

Regional PF Commissioner v. Sri Krishna Metal Manufacturing Co. (AIR 1962 SC 1536)**Held:**

The term “factory” should be interpreted **broadly** in keeping with the **social welfare purpose** of the Act.

Summary Table:

Requirement	Condition
Number of workers	20 or more persons
Nature of activity	Manufacturing process

Requirement	Condition
Use of power	Yes (with or without, but generally with power)
Exclusions	Mines, railway running sheds

4. Definition of “Employer” — [Section 2(e)]

“Employer” means:

1. In relation to a factory —
 - The **owner or occupier** of the factory,
 - Including the **manager or agent** of such owner or occupier.
2. In relation to any other establishment —
 - The person or authority having **ultimate control** over the affairs of the establishment,
 - And if affairs are entrusted to a manager or managing director — that person.

Explanation:

- The **employer** is the person responsible for:
 - **Paying wages** to employees, and
 - **Making contributions** to the Provident Fund.
- The Act imposes **joint responsibility** on the employer to ensure compliance.

Case Law:

Regional PF Commissioner v. Sri Krishna Metal Mfg. Co. (AIR 1962 SC 1536)

Held:

The employer is the **person with actual control** over the establishment, even if he is not the owner.

P.M. Patel & Sons v. Union of India (1987) 1 SCC 394

Held:

Even a contractor or intermediary engaging home-based workers can be treated as an “employer” under the EPF Act if he exercises **control and supervision** over work.

Food Corporation of India v. Provident Fund Commissioner (1990 AIR SC 611)

Held:

The “employer” is not necessarily the **ultimate owner**, but the person **responsible for supervision and management** of employees.

Key Responsibilities of Employer:

1. Deduct employee’s PF contribution.
2. Add employer’s equal contribution.
3. Deposit both amounts to EPF account.
4. Maintain records and submit returns.
5. Comply with inspections and directions of PF authorities.

5. Definition of “Employee” — [Section 2(f)]

“Employee” means any person who is employed for wages in any kind of work, manual or otherwise, in or in connection with the work of an establishment, and who gets his wages directly or indirectly from the employer.

It includes:

- Persons employed through a **contractor**, and
- Persons engaged in **administrative or clerical work**.

Explanation:

- The definition is **very wide** — it covers **permanent, temporary, casual, part-time, and contract workers**.
- Even employees paid on **piece-rate basis** are covered.
- Apprentices under the **Apprentices Act, 1961** are excluded.

Case Law:

P.M. Patel & Sons v. Union of India (1987) 1 SCC 394

Held:

Home-based workers engaged through contractors were considered **employees** under the EPF Act because they worked **for the benefit of the establishment**.

Royal Talkies, Hyderabad v. Employees’ State Insurance Corporation (AIR 1978 SC 1478)

Held:

Workers employed through contractors (e.g., ticket checkers, cleaning staff) were held to be employees since their work was **integral to the establishment**.

Mangalore Ganesh Beedi Works v. Union of India (1974 AIR SC 1832)

Held:

Even if the worker performs work outside the premises, as long as it is **connected to the establishment’s business**, he is an “employee.”

Key Elements of Employee Definition:

Element	Explanation
Employment for wages	Must receive remuneration for work
Type of work	Manual, skilled, unskilled, supervisory, clerical
Employment relationship	Direct or through contractor
Connection	Work must be connected to establishment’s business
Exclusion	Apprentices under Apprentices Act

6. Summary Table of All Key Definitions

Term	Section	Meaning	Key Case Law
Basic Wages	2(b)	Regular pay excluding allowances	<i>Bridge & Roof Co. v. UOI</i> (1963)
Factory	2(g)	Premises with 20+ workers doing manufacturing with power	<i>Shree Changdeo Sugar Mills v. UOI</i> (2001)
Employer	2(e)	Person with ultimate control or manager	<i>Food Corp. of India v. PF Commissioner</i> (1990)
Employee	2(f)	Any person employed for wages, direct or indirect	<i>P.M. Patel & Sons v. UOI</i> (1987)

7. Conclusion

These definitions form the **foundation of the EPF Act, 1952**.

They determine **who is covered**, **who contributes**, and **who benefits** from the Provident Fund scheme.

The broad and inclusive nature of these definitions ensures that the Act fulfills its **social welfare objective** — providing **economic security and stability** to all categories of employees in India.

3) Priority of Payment of Contribution and Protection Against Attachment

1. Introduction

The **Employees' Provident Funds and Miscellaneous Provisions Act, 1952** is a **social welfare legislation** enacted to secure the **financial future of employees** after retirement.

To ensure that the benefits are not denied or delayed, the Act provides special provisions to protect the **Provident Fund contributions** of employees.

Two major safeguards are provided:

1. **Priority of Payment of Contributions**
2. **Protection Against Attachment**

2. Priority of Payment of Contribution

Text of Section 11(1):

"Where any employer is adjudicated insolvent, or being a company, an order for winding up is made, the amount due —

- (a) from the employer in relation to the employees' contribution, and
 - (b) from the employer in relation to the employer's contribution,
- shall be deemed to be included among the debts which, under Section 530 of the Companies Act, 1956, are to be paid in priority to all other debts."

Explanation:

- This section ensures that **Provident Fund dues** have **first charge** or **priority** over all other debts of the employer.
- Even if a company goes into **liquidation**, the **PF dues must be paid first** before any other creditors or shareholders are paid.

Purpose:

- To **protect employees** in cases where the employer becomes **insolvent or bankrupt**.

- To ensure that the **social security benefits** are **not lost** due to the employer's financial difficulties.

Case Law:

Official Liquidator of Esskay Pharmaceuticals Ltd. v. Regional Provident Fund Commissioner

Held:

The Supreme Court held that **PF dues are entitled to priority** in payment over other debts, including those of secured creditors.

Regional Provident Fund Commissioner v. Official Liquidator of the Esskay Pharmaceuticals Ltd.

Held:

PF contribution is a **statutory liability** and not a mere debt; hence, it **must be paid before** the claims of any other creditors.

Employees State Insurance Corporation v. Official Liquidator, Jaipur Textile Ltd. ,2008

Held:

The Court reiterated that **statutory welfare dues** such as PF, Pension, and Insurance contributions have **priority** over all other dues, including **bank loans**.

Important Points:

Particulars	Description
Section	11 of EPF Act
Applies to	Insolvency or winding up of employer/company
Type of Dues	Employer's and employee's PF contributions
Priority	Paid first before other debts
Nature	Statutory obligation

Illustration:

If a company owes:

- ₹10 lakh to bank
- ₹5 lakh PF dues

Then, during liquidation —

→ The **₹5 lakh PF dues** must be **paid first** before the bank's claim.

3. Protection Against Attachment

Text of Section 10:

"The amount standing to the credit of any member in the Fund shall not in any way be capable of being assigned or charged and shall not be liable to attachment under any decree or order of any court in respect of any debt or liability incurred by the member."

Explanation:

- This section **protects the employee's Provident Fund amount** from being seized or attached for any debt, loan, or court order.

- The PF amount belongs to the employee for his **retirement or dependents' security**, hence it cannot be taken away to satisfy private debts.

Purpose:

To ensure that the PF amount:

- Is **used only** for the **employee's welfare**, and
- **Remains secure** even if he incurs debts or legal liabilities.

Case Law:

Union of India v. Radha Kissen Agarwal, (1969) AIR SC 762

Held:

Provident Fund money **cannot be attached** by a court decree or order.

The protection under Section 10 is **absolute** — the amount remains immune even after it is payable to the employee.

Regional Provident Fund Commissioner v. Shiv Kumar Joshi, (2000) 1 SCC 98

Held:

PF benefits are **statutory and sacrosanct**; they cannot be attached, assigned, or transferred under any condition.

K.T. Thulasidas v. Regional PF Commissioner, (2000) AIR SC 1172

Held:

Even when the employee himself agrees to set off PF dues against a loan, such agreement is **void**, since PF money cannot be used for other purposes.

Key Points under Section 10:

Protection	Description
Against attachment	PF cannot be attached by any court order or decree
Against transfer	PF amount cannot be assigned or pledged
After employee's death	Amount goes directly to nominees/heirs
Even after withdrawal	Protected until actually paid to employee

Example:

If an employee owes ₹1 lakh to a bank and has ₹1.5 lakh in PF,

👉 The bank **cannot claim** or attach the PF amount to recover its dues.

4. Combined Effect of Sections 10 & 11

Aspect	Section 10	Section 11
Protection of PF Amount	PF amount cannot be attached or assigned	PF dues get first priority in case of insolvency
Objective	Protects employee's savings	Ensures PF payment before other debts
Beneficiary	Employee/member	EPF authorities and employees

Aspect	Section 10	Section 11
Nature	Protective	Priority-based

5. Conclusion

The **Employees' Provident Funds Act, 1952** ensures that employees' **social security savings** are **protected and prioritized**.

Sections **10 and 11** together make sure that:

- The PF dues are **paid first**, even in insolvency or winding-up, and
- The PF balance of an employee **cannot be seized** for any personal liability.

Thus, the Act gives **paramount importance** to employees' welfare over all other financial claims or creditors.

4) Inspector: Appointment, Powers & Functions

1. Introduction

For the effective implementation of the **Employees' Provident Funds and Miscellaneous Provisions Act, 1952**, it is essential to have officers who can **supervise, inspect**, and **enforce compliance** with the Act.

Hence, the Act provides for the **appointment of Inspectors** (now known as **Enforcement Officers**) to ensure that employers fulfill their statutory obligations regarding **PF, Pension, and Insurance schemes**.

2. Statutory Provision

 **Section 13** of the EPF Act, 1952 deals with: *"Appointment of Inspectors and their powers."*

Further, the **Employees' Provident Fund Scheme, 1952** (Paragraphs 58 to 60) also lay down the **duties and powers** of inspectors.

3. Appointment of Inspectors

(a) Authority Empowered:

Under **Section 13(1)** –

The **Central Government** may, by notification in the Official Gazette, **appoint Inspectors** for the purposes of the Act and the Schemes framed under it.

(b) Qualifications:

Inspectors are generally appointed from the **Employees' Provident Fund Organization (EPFO)** cadre, and are known as **Enforcement Officers**.

They must have knowledge of:

- Labour laws
- Accountancy
- Investigation procedures

(c) Jurisdiction:

The **Central Provident Fund Commissioner (CPFC)** or **Regional Provident Fund Commissioner (RPFC)** assigns **areas or establishments** to each Inspector for supervision and enforcement.

4. Powers of Inspectors

Inspectors have **quasi-judicial and administrative powers**. Their powers are mainly **investigative and enforcement-oriented**.

■ **Section 13(2)** specifies these powers.

(i) Entry and Inspection

- The Inspector may **enter any establishment or premises** to which the Act applies.
- He can **inspect records, registers, books, accounts, and documents** related to:
 - Wages and salaries
 - Attendance
 - Employment records
 - PF contribution registers

(ii) Examine Employer or Employees

- The Inspector can **examine any employer or employee** either orally or in writing for the purpose of inquiry.
- He may **record statements** if necessary.

(iii) Make Copies or Take Extracts

- He may **make copies** or take **extracts** from any register, document, or record maintained by the employer.

(iv) Seize or Detain Documents

- If the Inspector finds any **violation or manipulation** of records, he can **seize or detain** documents for further investigation.

(v) Require Information

- The Inspector may **demand any information** from the employer necessary for verifying compliance with the Act or schemes.

For example:

- Number of employees
- Wage structure
- PF deductions and deposits

(vi) Check Compliance

- Inspectors ensure that:
 - The **employer is deducting and depositing** contributions regularly.
 - **Returns and statements** are submitted to the EPFO office.
 - The **employees are enrolled** under the Provident Fund Scheme.

(vii) Assist in Prosecution

- If violations are found, the Inspector can **initiate prosecution proceedings** against the defaulting employer under Section 14 of the Act.

5. Functions of Inspectors

Inspectors not only have powers but also important **functions** to perform for the welfare of employees and the success of the Provident Fund Scheme.

1 Ensuring Compliance

- Verify that all eligible establishments are covered under the Act.
- Ensure that **all employees are enrolled** and **contributions are paid** in time.

2 Investigation and Reporting

- Inspectors submit **inspection reports** to the Regional PF Commissioner.
- They report **non-compliance, delayed deposits, or false returns**.

3 Educating Employers and Employees

- Provide **guidance** to employers regarding procedural requirements.
- Educate employees about their **rights** under the Act.

4 Assisting Recovery

- Help in **recovery of arrears** of contributions, interest, and damages from defaulting employers.

5 Acting as a Link

- Serve as a **link between employers, employees, and the Provident Fund authorities** to ensure smooth implementation of the Act.

6. Safeguards

To prevent misuse of power:

- Inspectors must **carry official authorization**.
- They must **record reasons** for inspections and seizures.
- They are **public servants** under Section 21 of the Indian Penal Code, hence bound by **disciplinary rules and integrity obligations**.

7. Case Laws

(a) Regional Provident Fund Commissioner v. Hooghly Mills Co. Ltd. (AIR 2012 SC 168)

Held:

Inspectors play a crucial role in **detecting evasion of PF contributions**, and their inspection reports have **evidentiary value** in proceedings under the Act.

(b) Hindustan Times Ltd. v. Union of India, (AIR 1998 SC 688)

Held:

The Supreme Court recognized the **enforcement and quasi-judicial powers** of Inspectors as necessary for ensuring the **social security objectives** of the Act.

(c) Whirlpool of India Ltd. v. Regional Provident Fund Commissioner, (2000) 1 LLJ 1346 (SC)

Held:

The Inspector's power of inquiry includes determining whether **workers are employees** under the Act — hence, they have **wide investigative authority**.

8. Summary Table

Aspect	Details
Section	13 of the EPF Act, 1952
Authority Appointing	Central Government
Designation	Inspector / Enforcement Officer
Powers	Entry, inspection, examination, seizure, inquiry
Functions	Compliance checking, reporting, education, recovery assistance
Supervising Authority	Regional Provident Fund Commissioner (RPFC)
Key Objective	To ensure employer compliance and employee protection

9. Conclusion

The **Inspector (Enforcement Officer)** is the **backbone of enforcement** under the Employees' Provident Funds and Miscellaneous Provisions Act, 1952.

He ensures that employers **do not evade contributions**, and that employees **receive their lawful benefits**.

By combining **inspection powers with social responsibility**, Inspectors help achieve the **true goal of the Act — financial security and social justice for workers**.

[LABOUR LAW \(Complete Summary Notes\)](#)



UNIT – I: Historical Background of Labour Welfare

1. Labour in Ancient Society and in the Middle Ages

(a) Ancient Society

- Labour had **no organized protection**.
- Economic life was **agricultural and family-based**; slavery and bonded labour were common.
- Labourers were treated as **servants or property** of the master.
- Wages were minimal, and there was **no concept of welfare or social justice**.

Examples:

- In India, during the **Vedic period**, *Shudras* and *Dasas* worked as servants.
- During the **Mauryan period**, Emperor Ashoka emphasized “*Dhamma*” — moral and social welfare.

(b) Medieval Period

- The **guild system** arose in Europe — groups of craftsmen regulated trade and quality.
- In India, **artisan guilds (shrenis)** existed, controlling employment and wages.
- However, there was still **no legal protection** for labourers.
- Labourers were subject to **exploitation and poor working conditions**.

2. Conditions of Labour in the Beginning of Industrialization

- The **Industrial Revolution (18th–19th century)** transformed production systems.
- **Factories** replaced manual work — long hours (12–16 hours), low wages, child and women labour.

- **No safety measures**, frequent accidents, and miserable living conditions.
- Led to **labour movements** and **trade union formations** demanding fair treatment.

3. Causes for Exploitation of Labour in Early Days

Causes	Description
Lack of regulation	No protective labour laws
Poverty & unemployment	Workers had no bargaining power
Child & women labour	Cheap and unprotected workforce
Industrial greed	Employers focused only on profit
Absence of unions	No organized resistance by workers

Result:

Severe exploitation led to demand for **State intervention** and birth of **Labour Legislations**.



UNIT – II: Concept of Social Justice and Role of ILO

1. Emergence of Concept of Social Justice and Social Security

(a) Social Justice

- Aims to establish a **fair and humane society**.
- Based on the **Directive Principles of State Policy** (Articles 38, 39, 41, 42, 43 of the Indian Constitution).
- Ensures **equal economic opportunities**, decent living conditions, and dignity of labour.

(b) Social Security

- Protection against **economic distress** due to sickness, unemployment, old age, or death.
- Recognized as a **human right** by the **Universal Declaration of Human Rights, 1948 (Art. 22)**.
- In India, achieved through:
 - Employees' Compensation Act, 1923
 - Employees' State Insurance Act, 1948
 - EPF & MP Act, 1952
 - Payment of Gratuity Act, 1972
 - Maternity Benefit Act, 1961

2. Role of International Labour Organisation (ILO)

(a) Establishment

- Founded in **1919** under the **Treaty of Versailles**.
- Became a **specialized agency of the UN** in 1946.
- India is a **founding member**.

(b) Objectives (from Preamble of ILO Constitution):

1. Promotion of **social justice**.

2. Improvement of **working conditions and living standards**.
3. Protection against **unemployment and poverty**.
4. Fixation of **fair wages and working hours**.

(c) Impact on Indian Labour Legislation

ILO conventions influenced:

- Minimum Wages Act, 1948
- Factories Act, 1948
- Employees' Compensation Act, 1923
- EPF & MP Act, 1952
- Maternity Benefit Act, 1961
- Occupational Safety and Health Codes

(d) Case Reference:

- *Bandhua Mukti Morcha v. Union of India* (AIR 1984 SC 802):
Supreme Court relied on ILO principles to protect **bonded labourers**, emphasizing **human dignity and social justice**.



UNIT – III: The Employees' Compensation Act, 1923

1. Definitions

Term	Meaning
Dependent	Family members financially dependent on the employee (Sec. 2(d))
Total Disablement	Permanent incapacity to do any work the employee was capable of before the accident (Sec. 2(l))
Partial Disablement	Reduction in earning capacity due to injury (Sec. 2(g))
Workman/Employee	Person employed in any capacity in specified employment (Sec. 2(1)(n))

2. Employer's Liability for Compensation

(i) Accident Arising out of and in the Course of Employment

- Employer liable when **accident has a causal connection** with employment.
- "Arising out of employment" → due to employment risk.
- "In the course of employment" → during duty time or connected activity.

Case Law:

Mackinnon Mackenzie & Co. v. Ibrahim Issak (AIR 1969 SC 1906) –
Accident must have a **reasonable nexus** with employment.

(ii) Notional Extension of Employer's Premises

- Employer's liability extends to areas **reasonably connected with work premises**.
- Includes travel to/from workplace if employment risk continues.

Case Law:

Saurashtra Salt Mfg. Co. v. Bai Valu Raja (1958 AIR SC 881) –

Accident occurring while worker was entering factory premises held compensable.

(iii) Liability for Occupational Diseases

- Covered under **Section 3(2)** and **Schedule III**.
- Disease peculiar to employment is deemed an **injury by accident**.

Case Law:

Bhagubai v. Central Railway (AIR 1955 Bom 105) – Disease caused by workplace environment is compensable.

(iv) Defenses Available to Employer

Employer not liable if:

1. Injury not arising out of employment.
2. Injury due to employee's willful disobedience of safety rules.
3. Injury due to intoxication or deliberate act.
4. Employee engaged in work outside employment scope.

(v) Contracting

- Any **contract restricting employee's right to compensation** is **void** (Sec. 17).
- Employer cannot avoid liability through agreements.

3. Amount of Compensation (Section 4)

Type of Injury	Amount of Compensation
Death	50% of monthly wages × Relevant Factor (as per Schedule IV) or ₹1,20,000 (whichever is higher)
Permanent Total Disablement	60% of monthly wages × Relevant Factor or ₹1,40,000 (whichever is higher)
Permanent Partial Disablement	Proportionate amount as per loss of earning capacity (Schedule I)
Temporary Disablement	Half monthly payment (25% of wages) for period of disablement

4. Distribution of Compensation

- Compensation to **dependents** is deposited with **Commissioner for Workmen's Compensation**.
- Commissioner distributes amount after inquiry.

**UNIT – IV: The Employees' Provident Funds and Miscellaneous Provisions Act, 1952****1. Object and Application (Section 1)**

- Ensures **retirement savings** and **financial security** to employees.
- Applies to establishments with **20 or more employees**.
- Central Government may extend to other establishments by notification.

2. Important Definitions (Section 2)

- **Basic Wages:** All earnings excluding HRA, overtime, bonus, commission.
- **Employer:** Owner/occupier controlling establishment.
- **Employee:** Any person employed for wages.
- **Factory:** Premises where manufacturing process is carried on.

3. Priority of Payment of Contribution & Protection Against Attachment

Section 11 – Priority of Payment

PF dues have **first charge** in insolvency or winding-up of company.

Case Law: *Official Liquidator of Esskay Pharmaceuticals v. RPFC* (1998).

Section 10 – Protection Against Attachment

PF amount cannot be **attached, assigned, or seized** by any court.

Case Law: *Union of India v. Radha Kissen Agarwal* (1969 AIR SC 762).

4. Inspector: Appointment, Powers & Functions (Section 13)

- Appointed by **Central Government**.
- Powers: Entry, inspection, seizure, inquiry, examination.
- Functions: Enforce compliance, investigate defaults, educate employers/employees.

Case Law: *Whirlpool of India Ltd. v. RPFC* (2000).

5. Penalties (Section 14)

- Non-payment or false statement: **Imprisonment up to 3 years or fine up to ₹10,000.**

Case Law: *Hindustan Times Ltd. v. Union of India* (1998 AIR SC 688).

❖ FINAL CONCLUSION

The Labour Law (Social Security Legislation) emphasizes the **constitutional goal of social justice (Art. 38, 39, 41–43)** by ensuring:

- **Protection of workers** from exploitation,
- **Compensation for injury or disease**, and
- **Security after retirement** through provident fund and pension.

These legislations transform the **State's moral duty into legal responsibility**, making India a **welfare-oriented State** committed to protecting the dignity of labour.

—*Abhishek Chaudhary*